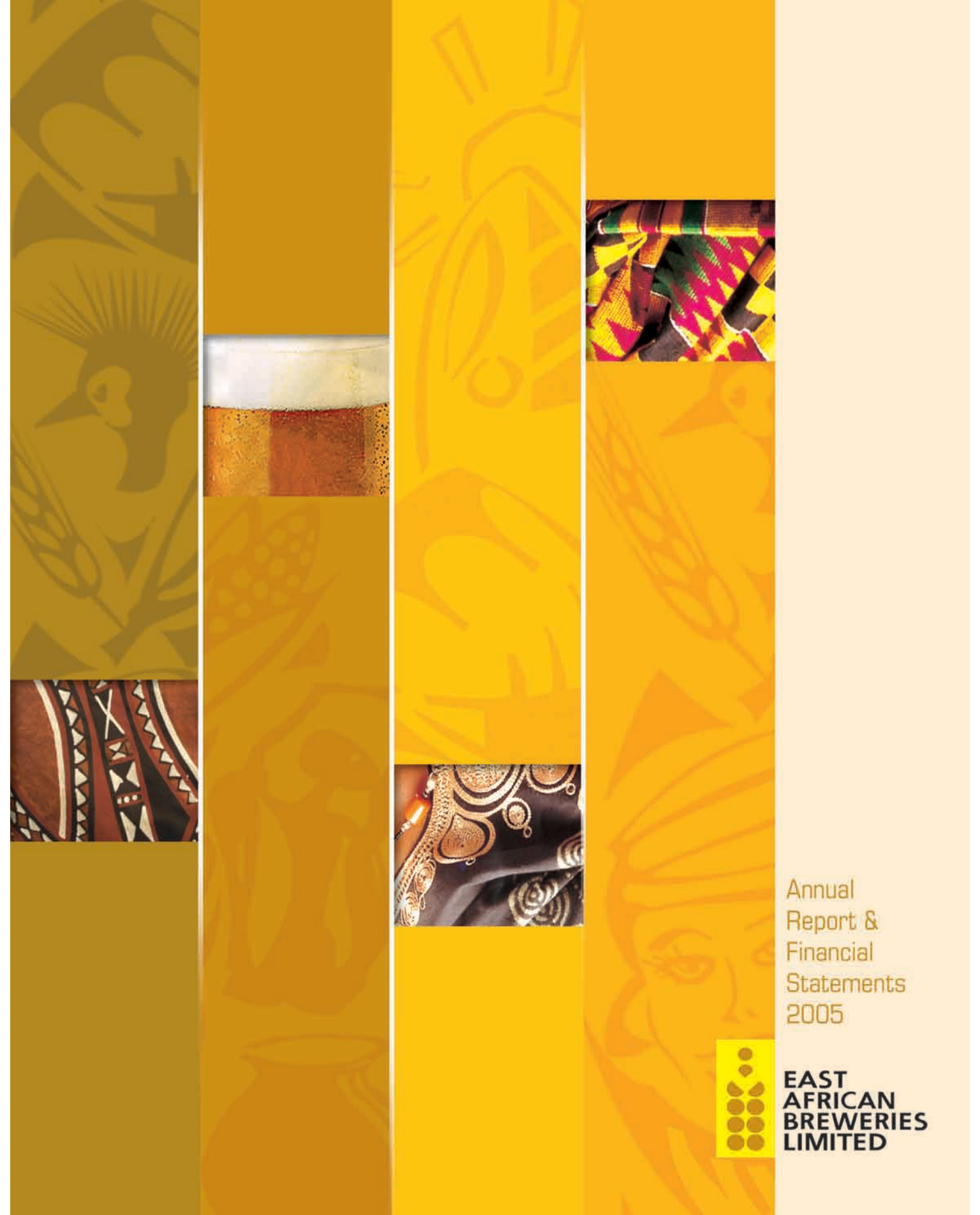




Annual
Report &
Financial
Statements
2005



**EAST
AFRICAN
BREWERIES
LIMITED**

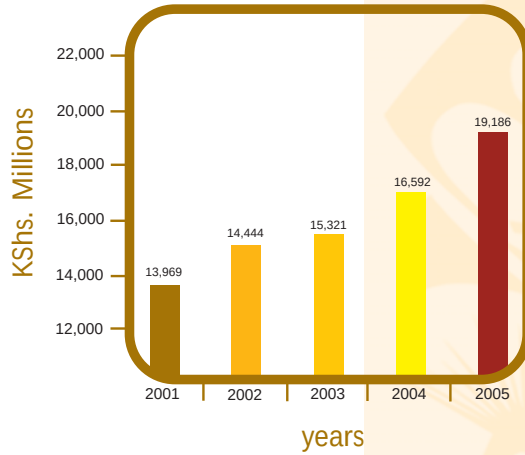
contents

Financial Highlights	1
Board of Directors	2-3
Corporate Information	4
Notice of Annual General Meeting	
Tangazo la Mkutano Mkuu wa Mwaka	5-6
Corporate Governance	
Uongozi Bora	7-8
Responsible Drinking Policy	
Unyuwaji wenye Uwajibikaji	9-10
Chairman's Statement	
Taarifa ya Mwenyekiti	11-25
Report of the Directors	
Ripoti ya Wakurugenzi	26
Statement of Directors' Responsibilities	
Taarifa Kuhusu Jukumu la Wakurugenzi	27
Report of the Independent Auditors	
Ripoti ya Wakaguzi Huru wa Hesabu	28
Consolidated Profit and Loss Account	29
Consolidated Balance Sheet	30
Company Balance Sheet	31
Consolidated Cash Flow Statement	32
Consolidated Statement of	
Changes in Equity	33
Company Statement	
of Changes in Equity	34
Notes forming part of the	
Financial Statements	35-56
Statement of Value Added	57
Shareholding	58
Proxy Form	59

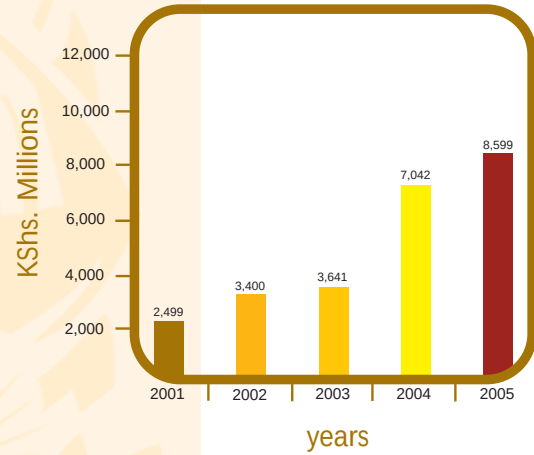


financial highlights '05

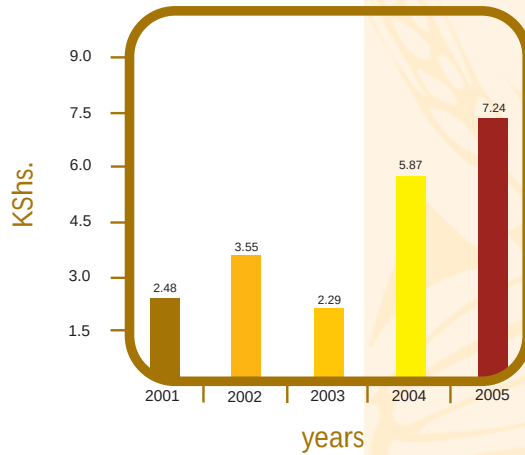
Net Sales Value



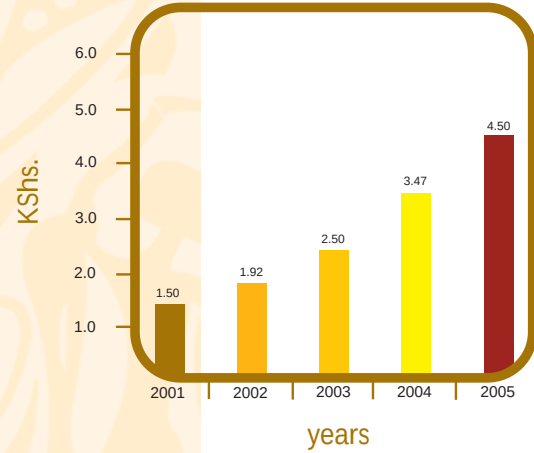
Profit Before Tax



Earnings per Share



Dividend Per Share

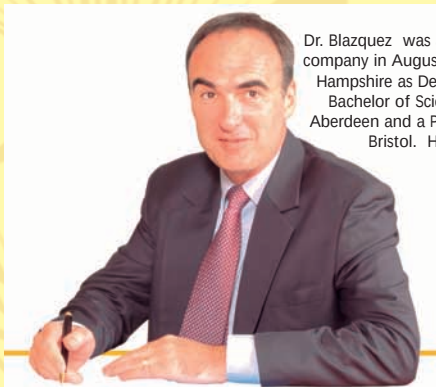


board of directors



Jeremiah G Kiereini EGH, EBS, SS (76)
Group Chairman

Mr. Kierieni was appointed Chairman of the Board in 1988. He worked with the Kenya Civil Service for 30 years where he held various senior positions culminating in his appointment as Chief Secretary, Head of Civil Service and Secretary to the Cabinet. After retirement, he ventured into commercial life and is now a member of many boards, the main ones being Unga Group Limited, CMC Holdings group of companies, CFC Bank Limited and Heritage/ All Insurance Company. He is a member of both local and international social organisations.



Dr Nick Blazquez (44)
Group Deputy Chairman

Dr. Blazquez was appointed a director of the company in August 2005 replacing Mr D H C Hampshire as Deputy Chairman. He holds a Bachelor of Science from the University of Aberdeen and a Ph.D. from the University of Bristol. He is the Managing Director of Diageo Africa.



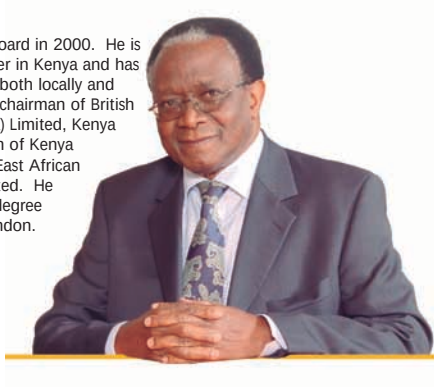
Richard Kemoli HSC, MBE (70)
Non Executive Director

Mr. Kemoli has been a member of the Board since 1996. He has over 35 years of experience both locally and internationally. He had a long and successful career with Commonwealth Development Corporation where he worked for 33 years before retiring. In recognition of the contributions he has made over the years, he was made a Member of the Order of the British Empire (MBE) in 1995. He has held directorships in several public and private sector institutions and he is currently Chairman of Lafarge Bamburi Cement Limited, Unga Group Ltd, Kenya Open Golf Ltd, and is a director of CMC Holdings Limited, Kakuzi Ltd, and Johnson Wax (EA) Limited, among others.



Gerald K Mahinda MBS (47)
Group Managing Director

Mr. Mahinda was appointed Group Managing Director in January 2004 having just completed a one-year assignment at Guinness Nigeria Plc as the Strategy and Change Director. Mr. Mahinda served as the Group Finance and Strategy Director between 2001 and 2003. Before joining EABL he worked for Standard Chartered Bank Kenya Limited as the Executive Director, Finance with responsibilities for Kenya, Uganda and Tanzania. He holds a Bachelor of Commerce Degree from the University of Nairobi and is a Certified Public Accountant.



Evanson Mwaniki (67)
Non Executive Director

Mr. Mwaniki joined the Board in 2000. He is a reputable business leader in Kenya and has had extensive experience both locally and internationally. He is the chairman of British American Tobacco (Kenya) Limited, Kenya Airways, a director of Lion of Kenya Insurance Company and East African Packaging Industries Limited. He holds a Bachelor of Arts degree from the University of London.



Wanjiku Mugane MBS (41)
Non Executive Director

Ms. Mugane joined the Board in 2001. She is an investment banker by profession and holds an LL.M (Georgetown) and an LL.B (UON) and various accounting and finance credits. She is an Attorney and Counsellor of Law of New York State and an advocate of the High Court of Kenya. She began her career practicing law in 1988 after which she switched careers to investment banking when she was seconded to SG Warburg in London and then South Africa. She is the co-founder of the First Africa Group, a leading Sub-Saharan Africa investment banking advisory services firm with offices in Johannesburg and Nairobi and is the managing director of its Kenyan operations. She is a director of Equity Bank Limited and was decorated as a Moran of the Burning Spear by the President of the Republic of Kenya in December 2003.

board of directors



Dr. William S Kalema (53)
Non Executive Director

Dr. Kalema is an engineer by profession. He joined the Board in 2000. He is the chairman of Uganda Investment Authority and the DFCU Group, a financial institution in Uganda. He is also a member of the boards of Multichoice Uganda, United Assurance Company and Mweya Safari Lodge. He is Chairman of the Uganda Gatsby Trust and the Kilimo Trust. Dr. Kalema holds a Ph.D Degree in Chemical Engineering from California Institute of Technology and Bachelors and Masters degrees from Cambridge University, England.



Babatunde A Savage (51)
Non Executive Director

Mr. Savage joined Guinness Nigeria Plc in 1983 as a management accountant and worked through the ranks and is now the Corporate Affairs Director and Company Secretary. He has wide experience in the brewing industry. He is a Fellow of the Chartered Institute of Taxation and a member of the Beer Sectoral Group in Nigeria.



Andrew S Ndegwa (37)
Non Executive Director

Mr. Ndegwa joined the Board in August 2004. He graduated from the University of Oxford with a Bachelor of Arts in Philosophy, Politics and Economics. He is currently an executive director of First Chartered Securities Limited (FCS), a Kenyan investment holding company. Prior to joining FCS in 1994, he worked in the banking industry for four years, firstly with Citibank and then with the African Mercantile Banking Company. He holds several directorships among which are NIC Bank Limited and Unga Group Limited.



Wilfred Kiboro (61)
Non Executive Director

Mr. Kiboro is the Group Chief Executive of the Nation Media Group. He holds a Bachelor of Science degree in Civil Engineering from the University College of Nairobi. Prior to joining the media, he worked with Rank Xerox and in various capacities within Shell and Esso.



Madren N Oluoch-Olunya (33)
Group Company Secretary

Mrs. Olunya is a lawyer by profession and holds a Master of Law Degree from the London School of Economics and Political Science as well as an ACCA Certified Diploma in Accounting and Finance. She began her career with Agricultural Finance Corporation before moving to join Serena Hotels in 1998. She is a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya. She is currently serving as the Secretary to the Institute of Directors (Kenya) and is a member of Legislation Committee of the Kenya Association of Manufacturers (KAM). She is also a Council member of the Association of Retirement Benefits Association.

corporate information

FINANCIAL CALENDAR

For the year ended 30 June 2005

RESULTS

Half Year Results announced
on 4 February 2005
Full Year Results announced
on 26 August 2005

Annual Report

Issued on 27 September 2005
83rd Annual General Meeting:
19 October 2005

DIVIDENDS

Interim

Announced on 4 February 2005
Paid on 16 March 2005

Final

To be declared on 19 October 2005
Payable on or about 21 October 2005

Register

Closing date: 3 October 2005

CORPORATE INFORMATION

DIRECTORS, OFFICERS & ADMINISTRATION

BOARD OF DIRECTORS

Group Chairman

J G Kiereini EGH, EBS, SS

Group Deputy Chairman

D H C Hampshire ** (Resigned on 25.8.05)

N Blazquez (Dr) ** (Appointed on 25.8.05)

Group Managing Director

G K Mahinda MBS

Group Finance Director

P D Fullam * (Resigned on 3.2.05)

Non-Executive Directors

R Kemoli HSC, MBE
J K Mwangi (Resigned on 27.5.05)
I K Cheluget (Resigned on 26.8.04)
W S Kalema (Dr) ***
E Mwaniki
W Mugane (Ms) MBS
B A Savage ****
A M Ndegwa (Appointed on 26.8.04)
W Kiboro (Appointed on 25.8.05)

*Irish **British ***Ugandan
****Nigerian

Group Company Secretary

M N Oluoch-Olunya (Mrs)

BOARD COMMITTEES

Board Audit & Risk Management Committee

R Kemoli Chairman
D H C Hampshire (Resigned on 25.8.05)
N Blazquez (Dr) (Appointed on 25.8.05)
B Savage
J K Mwangi (Resigned on 27.5.05)
A M Ndegwa (Appointed on 25.8.05)

Board Remuneration Committee

D H C Hampshire (Resigned on 25.8.05)
Chairman
N Blazquez (Dr) (Appointed on 25.8.05)
W Kalema (Dr)
E Mwaniki

Board Corporate Governance Committee

W Mugane (Ms) Chairlady
R Kemoli
E Mwaniki

Board Nominations Committee

D H C Hampshire (Resigned on 25.8.05)
Chairman
N Blazquez (Dr) (Appointed on 25.8.05)
W Kalema (Dr)
R Kemoli
W Mugane (Ms)

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

Corporate Centre, Ruaraka
Off Thika Road
P O Box 30161 - 00100
Nairobi
Telephone: 8644000
Fax: 8563054/8561090
E-mail: info@eabl.com

REGISTRAR

Barclays Advisory & Registrar
Services Limited
1st Floor, Bank House
Moi Avenue
P O Box 30120 - 00100
Nairobi

AUDITORS

KPMG Kenya
Lonrho House, 16th Floor
Standard Street
P O Box 40612 - 00100, Nairobi

BANKERS

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch
P O Box 30001 - 00100, Nairobi

Commercial Bank of Africa Limited
CBA Building
Wabera/Standard Street
P O Box 30437 - 00100, Nairobi

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
P O Box 30120 - 00100
Nairobi

Citibank NA
Citibank House, Upper Hill Road
P O Box 30711 - 00100, Nairobi

ADVOCATES

Kaplan & Stratton
Williamson House, 4th Ngong Avenue
P O Box 40111 - 00100, Nairobi

notice of the annual general meeting

tangazo la mkutano mkuu wa mwaka

NOTICE IS HEREBY GIVEN that the EIGHTY THIRD ANNUAL GENERAL MEETING of East African Breweries Limited will be held at Tusker Sports Ground, Ruaraka, Nairobi on Wednesday, 19 October 2005 at 10.00 a.m. for the following purposes:

1. FINANCIAL STATEMENTS

- a) to receive and adopt the audited financial statements for the year ended 30 June 2005 together with the report of the Directors and the Auditors' report thereon **(Resolution 1)**;
- b) to confirm the interim dividend of KShs 1.50 and declare a final dividend of KShs 3.00 per ordinary share payable on or about 21 October 2005 to members on the Register at the close of business on 3 October 2005 **(Resolution 2)**;

2. DIRECTORS

a) Elections

- i) to re-elect Mr Wilfred Kiboro who retires under Article 108 and, being eligible, offers himself for re-election as a director of the company **(Resolution 3)**;
- ii) to re-elect Dr Nick Blazquez who retires under Article 108 and being eligible, offers himself for re-election as a director of the company **(Resolution 4)**;
- iii) to re-elect Dr William Kalema who retires under Article 109 and, being eligible, offers himself for re-election as a director of the company **(Resolution 5)**;
- iv) to re-elect Mr Evanson Mwaniki who retires under Article 109 and, being eligible, offers himself for re-election as a director of the company **(Resolution 6)**;

b) Remuneration

To note that the Directors are not seeking any increase in their remuneration which, accordingly, remains as stated in the financial statements;

TANGAZO LINATOLEWA HAPA KWAMBA MKUTANO MKUU WA MWAKA HUU UKIWA NI WA THEMANINI NA TATU wa Kampuni ya East African Breweries Limited, utafanyika katika Uwanja wa Michezo wa Tusker, Ruaraka, Nairobi siku ya Jumatano tarehe 19 Oktoba 2005, saa nne asubuhi kwa minajili ifuatayo;

1. TAARIFA ZA KIFEDHA

- a) Kupokea na kuidhinisha taarifa za kifedha ambazo zimechunguzwa kwa mwaka wa kifedha wa kampuni uliomalizika tarehe 30 Juni, 2005 pamoja na ripoti ya Wakurugenzi na ya Wakaguzi wa Hesabu wa Kampuni, zilizoambatanishwa **(Azimio la 1)**;
- b) Kuthibitisha malipo ya mgawo wa muda wa shilingi 1.50 za Kenya na kutangaza mgawo wa mwisho wa shilingi 3.00 za Kenya kwa kila hisa ya kawaida, utakaolipwa mnamo au kabla ya tarehe 21 Oktoba 2005 kwa wanahisa walio kwenya Rejesta kufikia wakati wa shughuli kukamilika, tarehe 3 Oktoba 2005 **(Azimio la 2)**;

2. WAKURUGENZI

a) Uchaguzi

- i) Kumchagua Bw Wilfred Kiboro ambaye atastaafu kulingana na kifungu cha 108 cha Kanuni za Kampuni na, kwa vile inakubalika kumchagua tena, anajitolea achaguliwe kama mkurugenzi wa kampuni **(Azimio la 3)**;
- ii) Kumchagua Dkt Nick Blazquez ambaye atastaafu kulingana na kifungu cha 108 cha Kanuni za Kampuni na, kwa vile inakubalika kumchagua tena, anajitolea achaguliwe kama mkurugenzi wa kampuni **(Azimio la 4)**;
- iii) Kumchagua Dkt William Kalema ambaye atastaafu kulingana na kifungu cha 109 cha Kanuni za Kampuni na, kwa vile inakubalika kumchagua tena, anajitolea achaguliwe kama mkurugenzi wa kampuni **(Azimio la 5)**;

notice of the annual general meeting continued

tangazo la mkutano mkuu wa mwaka inaendelea

3. AUDITORS

To appoint KPMG Kenya, the company's Auditors for the period ending with the next annual general meeting of the company and to authorise the directors to determine their remuneration (**Resolution 7**).

4. To transact any other business that may legally be transacted at the meeting.

By Order of the Board,



M N Oluoch-Olunya (Mrs)
Secretary
25 August 2005

A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote on his behalf. A proxy need not be a member.

A tear-out form of Proxy is given on page 59 for use by members who do not propose to be present at the meeting.

A Form of Proxy must be returned to the Company Secretary by no later than 10.00 a.m. on Monday 17 October 2005, being not less than 48 hours before the time appointed for the meeting.

Pursuant to Article 107 of the company's Articles of Association, any member may by notice duly signed by him and delivered to the Secretary of the company not less than seven days and not more than twenty-eight days before the day appointed for this meeting propose any other person for election to the Board. Such notice must be accompanied by a notice signed by the person proposed, indicating his willingness to be elected.

iv) Kumchagua Bw Evanson Mwaniki ambaye atastaafu kulingana na kifungu cha 109 cha Kanuni za Kampuni na, kwa vile inakubalika kumchagua tena, anajitolea achaguliwe kama mkurugenzi wa kampuni (**Azimio la 6**);

b) Malipo

Kufahamu kwamba hakuna nyongeza iliyopendekezwa kwa malipo ya Wakurugenzi.

3. WAKAGUZI WA HESABU

Kuwateua KPMG Kenya, kama Wakaguzi wa Hesabu wa Kampuni kwa muda utakaomalizika kwa mkutano mkuu wa kampuni wa mwaka ujao na kuwapa wakurugenzi idhini ya kuamua malipo yao (**Azimio la 7**);

4. Kushughulikia mambo mengine ambayo yanaweza kujadiliwa kihalali katika mkutano huo.

Kwa Amri ya Halmashauri,



M N Oluoch - Olunya (Bi) Katibu
25 Agosti 2005

Mwanahisa aliye na haki ya kuhudhuria na kupiga kura mkutanoni, ana haki ya kumteua mwakilishi mmoja au zaidi kuhudhuria na kupiga kura kwa niaba yake. Si lazima mwakilishi awe mwanahisa.

Fomu ya mwakilishi inayoweza kutolewa inapatikana ukurasa wa 59 kwa matumizi ya wanahisa wasiotarajiwa kuhudhuria mkutano. Fomu ya mwakilishi lazima irudishwe kwa Katibu wa Kampuni kabla ya saa nne asubuhi Jumanne tarehe 17 Oktoba 2005, ikiwa imesalia masaa 48 kabla ya wakati uliotengwa mkutano.

Kulingana na kifungu cha 107 cha Kanuni za Kampuni, mwanahisa yeyote, kwa kutoa notisi iliyowekwa sahihi naye na kukabidhiwa Katibu wa Kampuni, kwa muda usiopungua siku saba au kuzidi siku ishirini na nane kabla ya siku iliyotengwa kwa mkutano, anawez kumpendekeza mtu mwingine achaguliwe kwa katika Halmashauri, Notisi hiyo lazima iambatane na notisi iliyotiwa sahihi na yule aliyependekezwa, ikionyesha kutaka kwake kuchaguliwa.

corporate governance uongozi bora

Corporate governance is of utmost importance in enhancing prosperity and corporate accounting, the ultimate objective being the realization of long term shareholder value while taking into account the interests of other stakeholders. The Company is committed to meeting the standards of good corporate governance set out in the Capital Markets Authority Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya (CMA Guidelines) as well as in other internationally recognized codes.

The following Board Committees exist to assist the Board in carrying out its mandate:

Board Corporate Governance Committee

Committee members are Ms. Wanjiku Mugane (Chairlady), Mr. Richard Kemoli and Mr. Evanson Mwaniki. The Committee met two times during the last financial year and all members were in attendance.

During the year, the Committee developed a curriculum for Board Awareness Sessions for the Board of Directors. The broad themes of the sessions include Corporate Governance, Corporate Social Responsibility, Corporate Strategy and Finance. The purpose of these sessions is to sensitise directors on current world trends.

Board Audit and Risk Management Committee

The Committee is made up of Mr. Richard Kemoli (Chairman), Dr. Nick Blazquez, Mr. Andrew Ndegwa and Mr. Babatunde Savage. The Committee met twice during the last financial year.

The external auditors continue to have unrestricted access to the Committee Chairman during the rest of the year.

During the past year, the Committee oversaw the undertaking of risk assessments, and inclusion of mitigation plans in the objectives of all functions across the Group. The adoption of best practice found worldwide including the United States Sarbanes-Oxley Act, 2002 continued to be a top priority for the business.

Uongozi bora ni muhimu sana kwa kuzidisha mafanikio na kuwajibika kwa shirika, madhumuni makuu yakiwa utambuzi wa muda mrefu wa thamani ya wanahisa kwa kuzingatia mapendekezo ya washikadau wengine. Kampuni imejitolea kuzingatia viwango vya uongozi bora unaofaa, vilivyowekwa na Capital Markets Authority, Miongozo ya Desturi za Uongozi Bora kwa Makampuni ya Umma Yaliyoorodheshwa Kenya (Miongozo ya CMA) na pia katika kanuni zinazotambulika kimataifa.

Kamati za Halmashauri zifuatazo zipo ili kuisaidia Halmashauri kutekeleza mamlaka iliyonayo.:

Kamati ya Uongozi Bora ya Halmashauri

Wanakamati ni Bi. Wanjiku Mugane (Mwenyekiti), Bw. Richard Kemoli na Bw. Evanson Mwaniki. Kamati ilikutana mara mbili, katika mwaka wa kifedha uliopita na wanachama wote walihudhuria.

Mwaka huu, kamati ilibuni mtalaa wa Vikao vya Utambuzi kwa Halmashauri ya Wakurugenzi. Dhamira pana za vikao hivi ni kama Uongozi Bora, Jukumu la Uongozi katika Jamii, Mikakati ya Uongozi na Fedha. Madhumuni ya vikao hivi ni kuwahamasisha wakurugenzi juu ya mielekeo ya kisasa ulimwenguni.

Kamati ya Uchunguzi ya Halmashauri ya Uongozi dhidi ya Hatari.

Kamati hii inaye Bw. Richard Kemoli (Mwenyekiti), Dkt. Nick Blazquez, Bw. Andrew Ndegwa na Bw. Babatunde Savage. Kamati imeshakutana mara mbili, katika mwaka wa kifedha uliopita.

Wakaguzi wa hesabu wa nje wanaendelea kuwa na nafasi isiyo na mipaka ya kuweza kukutana na Mwenyekiti wa Kamati kwa wakati uliobakia wa mwaka.

Mwaka uliopita, Kamati ilisimamia kuanzishwa kwa makadirio dhidi ya hatari na kujumlishwa kwa mipango inayopunguza uzito wa makosa katika malengo ya shughuli zote za Kampuni.



corporate governance continued

uongozi bora inaendelea

Board Remuneration Committee

The Committee's members are Dr. Nick Blazquez (Chairman), Mr. Evanson Mwaniki and Dr. William Kalema. The Committee met thrice during the past financial year.

The Committee considered and set out revised end of service terms, structural changes on staffing, and oversaw the harmonization of best practice on remuneration and end of service benefits across the EABL Group to enable the recruitment and retention of qualified members of staff.

Board Nominations Committee

The Committee's members are Dr. Nick Blazquez (Chairman), Dr. William Kalema, Mr. Richard Kemoli and Ms. Wanjiku Mugane. The Committee met once during the year.

The Committee developed its terms of reference and reviewed the skills mix and experience of the board and management with a view to developing increased dynamism.

Business Ethics

The staff of EABL continue to commit themselves annually to adherence to the Company's Code of Business Conduct. The Code sets out the Company's commitment to conducting business in accordance with all relevant laws and regulations and high standards of ethical values. In addition there are other detailed policies and procedures in place across the Group, of particular importance being a comprehensive marketing code to ensure that the business continues to market its products responsibly.

"The staff of EABL continue to commit themselves annually to adherence to the Company's Code of Business Conduct."



Kukubaliwa kwa desturi bora zinazopatikana ulimwenguni zikiwemo Sheria ya Sarbanes-Oxley, 2002 ya Marekani iliendelea kuwa yenye umuhimu kwa biashara.

Kamati Ya Ujira

Wanakamati ni Dkt. Nick Blazquez (Mwenyekiti), Bw. Evanson Mwaniki na Dkt. William Kalema. Kamati hii ilikutana mara tatu, mwaka wa kifedha uliopita.

Kamati iliangalia na kuweka masharti ya kukamilisha utumishi yaliyosahihishwa, mabadiliko ya kimuundo ya wafanyikazi, na kusimamia kupatanishwa kwa desturi bora juu ya malipo na faida ya mwisho wa utumishi katika Kampuni ya EABL ili kuwezesha uajiri na uhifadhi wa wafanyikazi wenye ujuzi.

Kamati ya Uteuzi wa Halmashauri

Wanakamati ni Dkt. Nick Blazquez (Mwenyekiti), Dkt. William Kalema, Bw. Richard Kemoli na Bi. Wanjiku Mugane. Kamati hii ilikutana mara moja mwaka huu.

Kamati ilistawisha masharti yake ya marejeleo na kuangalia upya ujuzi mbalimbali na tajriba ya halmashauri na uongozi, wakiwa na lengo la kukuza uwezo wao zaidi.

Maadili ya Kibiashara

Wafanyikazi wa EABL wanaendelea kujitolea kila mwaka kwa kufuata Kanuni ya Maadili Mema ya Kampuni. Kanuni hii inathibitisha kujitolea kwa Kampuni ili kuendeleza biashara kulingana na sheria na kanuni zote zinazohusika na viwango vya juu vya maadili. Zaidi ya hayo kuna sera na utaratibu unaotumika katika Kampuni, zenye umuhimu maalum kutokana na kanuni yenye kina juu ya uuzaji, ili kuhakikisha kwamba biashara inaendelea kuuza bidhaa zake kwa njia iliyowajibika.

responsible drinking policy unywaji wenye uwajibikaji

EABL believes that the consumption of alcohol can be a part of a healthy and balanced lifestyle. But we also do acknowledge that if taken in excess, it can lead to serious health and social problems. This realization has led EABL to devise a campaign to encourage responsible and safe drinking in the countries/markets we operate in. In September, the campaign kicked off in Kenya and will soon be rolled out in Uganda. Last year alone we committed Kshs. 25 million to try and instill in our consumers' responsible drinking habits. Responsible drinking is everyone's concern for everyone's benefit. To deliver the message, EABL is moving on the following fronts.

1. Bartender training

EABL is enlisting the support of bar tenders –probably the people, who best know and understand drinkers – to ensure that consumers do drink responsibly. Over the last three years, over 3,000 bar tenders have undergone training. The campaign will increase the tempo so that more of them can benefit. Bar tenders have a positive relationship with consumers and EABL would want to use that goodwill to influence drinking patterns. The training gives them skills in responsible servicing techniques such as how to deal with those under the legal drinking age and customers who have had too much to drink.

2. University Lectures on Responsible Drinking

EABL is working with renowned psychiatrist, Dr. Frank Njenga, to develop responsible drinking materials as well as give university students talks on alcohol and health issues.

3. Parents & Teachers Guide on alcohol education

Dr. Njenga is also developing appropriate communication materials to guide parents and teachers on how to handle and discuss alcohol issues with young people.

4. Billboard and Press Advertising Campaigns

To reach consumers, who often have the final say on whether to take that last drink or not, we have developed adverts to run in billboards, newspapers, magazines and also radio and television with emphasis being placed on "Drink Responsibly, Live Responsibly"

EABL inaamini kwamba unywaji wa vileo unaweza kuwa mtindo wa maisha wenye afya na uliowekewa mizani. Lakini pia tunatambua kwamba unywaji huu ukizidi, unaweza kusababisha matatizo ya kiafya na kijamii. Utambuzi huu umeelekeza EABL kubuni kampeni itakayohimiza unywaji wenye uwajibikaji na ulio salama katika nchi/masoko tunayotenda kazi. Mnamo mwezi wa Septemba, kampeni ilianza nchini Kenya na hivi karibuni itaanzishwa nchini Uganda. Mwaka jana pekee tulijitolea kwa kutumia shilingi milioni 25 za Kenya kujaribu kuwahimiza wateja wetu kuwa na mazoea ya unywaji wenye uwajibikaji. Unywaji wenye uwajibikaji unahusu kila mtu kwa manufaa ya kila mtu. Ili kuwasilisha ujumbe, EABL inakabiliana na mambo yafuatayo.

1. Mafunzo kwa Wahudumu wa Mabaa.

EABL inahusisha usaidizi wa wahudumu wa mabaa – pengine watu, wanaowajua na kuwafahamu zaidi wanywaji – ili kuhakikisha kwamba kuna unywaji wenye uwajibikaji. Kwa muda wa miaka mitatu iliyopita, zaidi ya wahudumu 3,000 wa mabaa wamepitia mafunzo haya. Kampeni itazidisha kasi ili wengi wao zaidi waweze kunufaika. Wahudumu wa mabaa wana uhusiano mwema na wanywaji na EABL ingependa kuutumia uhusiano huu ili kuathiri mtindo ya unywaji. Mafunzo haya huwapa ujuzi katika kutoa huduma, kwa jinsi ya kuwajibika, kama jinsi ya kupambana na wale walio chini ya miaka inayokubaliwa unywaji kisheria na wateja waliowalea.

2. Mihadhara katika Vyuo Vikuu juu ya Unywaji wenye Uwajibikaji.

EABL inashirikiana na mtaalamu mashuhuri wa magonjwa ya akili, Dkt. Frank Njenga, ili kubuni vifaa mbalimbali juu ya unywaji wenye uwajibikaji, pamoja na kuwapa wanafunzi wa chuo kikuu mihadhara juu ya vileo na afya.

3. Mwongozo wa Wazazi na Walimu juu ya Elimu ya Vileo

Vilevile, Dkt. Njenga anashughulikia vifaa mwafaka vya mawasiliano ili kuwaongoza wazazi na walimu, jinsi ya kushughulikia na kujadili na vijana juu ya mambo yanayohusiana na vileo.

4. Mabango ya Kampeni za Matangazo katika Vyombo vyo Habari.

Ili kuwafikia watumiaji ambao kwa kawaida huwa na uamuzi wa mwisho wa kukinywa kinywaji hicho cha mwisho au

"Last year alone we committed Kshs. 25 million to try and instill in our consumers' responsible drinking habits."



responsible drinking policy continued

unywaji wenye uwajibikaji inaendelea

5. Media Workshops

And just to make sure that media practitioners understand what alcohol abuse is all about, EABL has held one-day workshops for journalists. The media informs and shapes peoples' opinions and it is important that alcohol abuse issues are covered objectively and adequately.

6. Communication Messages in all our advertising and promotional material.

EABL is committed to effective self-regulation in the alcohol industry, setting world-class standards and ensuring that its brands are marketed and promoted responsibly. The company has initiated and implemented a comprehensive code of marketing which is a policy that sets guidelines on how alcoholic brands can be marketed and promoted. For example excessive drinking is not condoned or promoted and adverts that feature under 25 year olds are banned.

7. Bottle Messaging

We also ensure that all our alcoholic brands carry a "Not For Sale to Under 18's" sign on all our bottles. We also do not retail our brands through kiosks.

8. Employee Alcohol Policy

The company has also implemented an Employee Alcohol Policy, which ensures that all EABL staff know and understand appropriate drinking behavior. The policy discusses important topics such as drinking and driving, alcohol and the work place and problem drinking. All EABL staff are expected to demonstrate a responsible attitude to drinking.

9. Question and Answer weekly column on Responsible Drinking in the Newspaper

The company has facilitated a Question and Answer column with Dr. Njenga in the Friday edition of the Daily Nation and Standard. Through the column consumers have an opportunity to ask questions on alcohol issues.

la, tumekuwa na matangazo kwenye mabango, magazeti, majarida na pia radio na televisheni, huku tukihimiza mno "Kunywa kwa Kuwajibika, Ishi kwa Kuwajibika"

5. Warsha za Wanahabari

Ili kuhakikisha kwamba wanahabari wanaelewa matumizi mabaya ya vileo ni nini, EABL iliandaa warsha za siku moja kwa waandishi wa habari. Vyombo vya habari hujaza na kuathiri mitazamo ya watu na ni muhimu kwamba masuala juu ya matumizi mabaya ya vileo yanashughulikiwa kikamilifu.

6. Ujumbe wa Mawasiliano katika vifaa vyetu vyote vya matangazo na ukuzaji

EABL imejitolea vilivyo kujirekebisha katika kiwanda cha vileo, kwa kuwa na viwango vya kimataifa na kuhakikisha kwamba chapa zake zimeuzwa na kutangazwa kwa njia ya uwajibikaji. Kampuni hii imebuni na kuanzisha Kanuni yenye kina juu ya uuzaji ambayo ni sera iliyo na miongozo juu ya uuzaji na utangazaji wa chapa za vileo. Kwa mfano, unywaji wa kupindukia haukashifiwi wala kuhimizwa na matangazo yanayowahusu wale walio na umri chini ya miaka 25 pia yamepigwa marufuku.

7. Ujumbe kwenye Chupa

Tunahakikisha pia kwamba chapa zetu zote za vileo zina ishara "Sio kwa Kuuzwa kwa Walio na Umri wa Chini ya Miaka 18" kwa chupa zetu zote. Pia hatuuzi chapa zetu kupitia kwa viosk.

8. Sera ya Vileo kwa Wafanyikazi

Kampuni pia imeanzisha Sera ya Vileo kwa Wafanyikazi, ambayo inahakikisha kwamba wafanyikazi wote wa EABL wanafahamu na kuelewa maadili mema yanayohusiana na unywaji. Sera hii inashughulikia mada muhimu kama unywaji na uendesaji, vileo na mahali pa kazi na unywaji unaotatiza. Wafanyikazi wote wa EABL wanatarajiwa kuonyesha mwelekeo unaofaa kuhusiana na unywaji.

9. Sehemu ya Maswali na Majibu juu ya Unywaji wenye Uwajibikaji, kila wiki katika Magazeti.

Kampuni imesaidia kuwapo kwa sehemu ya Maswali na Majibu katika magazeti ya Standard na Nation ya kila Ijumaa, na Dkt. Njenga. Kupitia kwa sehemu hii, watumiaji wana fursa ya kuuliza maswali yanayohusiana na vileo.



"EABL has held one-day workshops for journalists. The media informs and shapes peoples' opinions and it is important that alcohol abuse issues are covered objectively and adequately."

chairman's statement *taarifa ya mwenyekiti*

The past one year has been a momentous one for East African Breweries Limited, with the company realising a number of significant achievements notably, the cross-listing of the EABL shares on the Dar-es-Salaam Stock Exchange and the establishment of the EABL Foundation as a platform to strengthen our focus on corporate social responsibility.

On the new product development side of our business we also registered another milestone by introducing a new 100% barley beer in Kenya and Uganda to address consumer needs in market segments previously untapped.

Overall, the year under review also saw the company's fortunes continue to soar in Kenya when its market capitalisation on the Nairobi Stock Exchange hit the US \$ 1 billion mark.

As we look to the future, I am very pleased to report that the economic outlook across the region is on an upward trend. On the back of this improvement, I am happy to report that we experienced growth in our volumes in Kenya, for the first time in many years. Our volume increase was attributed to the general growth of the Kenyan economy, especially in the tourism sector.

World-class standards and continuous innovation remains the key to the Group's continued success. We continue to invest heavily in the infrastructure of our breweries. Recent upgrades at Kenya Breweries include refurbishment of the brew house and an improved effluent treatment plant. Uganda Breweries has also invested heavily in a new state of the art effluent treatment plant.

Innovative and exciting brands remain the lifeblood of our business. Several new products have been introduced across the region and we have also modernised the look and the appeal of our packaging on several brands to remain relevant in line with current market expectations.

On the human capital development side, there has been a continued focus on our people with a strong emphasis on staff training and more effective coaching. We are pleased that we have continued to attract the best as well as nurture an environment where staff can perform at their best and realise their full potential.

Going forward, we are looking at creating synergies across all our companies so that we can operate in an environment of best practice in all our key areas of business.



J G Kiereini
Chairman/Mwenyekiti

*"As we look to the future,
I am very pleased to report
that the economic outlook
across the region is on an
upward trend."*

Mwaka uliopita umekuwa mwaka wa maana sana kwa East African Breweries Limited, kwani kampuni ilipata mafanikio kadhaa yenye umuhimu, yakiwemo kuorodheshwa kwa hisa za EABL katika Soko la Hisa la Dar-es-Salaam na kuanzishwa kwa Wakfu wa EABL kama njia ya kuimarisha mtazamo wetu kwa jukumu la uongozi katika jamii.

Ukanda wa maendeleo wa bidhaa mpya za biashara, tumepiga hatua kubwa kwa kuanzisha bia mpya iliyo na 100% ya shayiri, nchini Kenya na Uganda ili kutosheleza matakwa ya wateja katika sehemu za soko ambazo mbeleni hazikuwa zikishughulikiwa.

Kwa jumla, mwaka huu tunaoutazama uliwezesha kampuni kuwa na matokeo yaliyoboreshwa nchini Kenya wakati mtaji wake katika Soko la Hisa la Nairobi ulifikia kiwango cha dola za Marekani bilioni moja.

Tunapotazama siku za usoni, nina furaha kuripoti kwamba, mtazamo wa kiuchumi katika eneo hili unazidi kulenga juu. Kuongezea hayo, ni furaha kuripoti kwamba mauzo yetu yaliimarika zaidi nchini Kenya, kwa mara ya kwanza kwa kipindi cha muda mrefu. Kuzidi kwa uuzaji wetu kulitokana na kuimarika kwa uchumi wa Kenya, hasa katika sekta ya utalii.

Viwango vya kimataifa na uvumbuzi unaoendelea ndiyo unaochangia hasa matokeo mazuri ya Kampuni. Tunazidi kuwekeza vilivyo katika muundomsingi wa viwanda vyetu vya pombe. Ustawi ulioko wa hivi karibuni katika Kenya Breweries ni kama utengenezaji upya wa Kampuni na kiwanda kilichoboreshwa cha utunzaji maji machafu. Uganda Breweries pia imewekeza katika kiwanda kipya cha utunzaji maji machafu cha hali ya juu.

Chapa zilizovumbuliwa na zenye kusisimua ndizo kiini cha biashara yetu. Bidhaa mpya kadhaa zimeanzishwa katika eneo hili na pia tumefanya upya kuonekana na kuvutia kwa upakiaji wetu, kwa chapa kadhaa ili ziendelee kutumika kulingana na matarajio ya mauzo yaliyoko.

Ukanda wa kuwaendelea wafanyikazi, tumekuwa tukiwalenga watu wetu hasa kwa kusisitiza mafunzo yao na kuyaboresha mafunzo. Tuna furaha kwamba tumeendelea kuwavutia wale walio bora na pia kukuza mazingira ambayo wafanyikazi wanafanya kazi wawezavyo na kutambua uwezo wao kikamilifu.

Tukienda mbele, tunanuia nguvu za pamoja katika makampuni yetu yote ili tuweze kutenda kazi katika mazingira yaliyo ya utekelezaji bora katika vipengele vyote muhimu vya biashara.

chairman's statement continued

taarifa ya mwenyekiti inaendelea

In our view, the excellent results and major achievements over the past year once again highlights the fact that our strong focus on investing in all the areas of our business, namely our people, our brands and our production processes will continue to drive our success.

RESULTS

I am pleased to report that the Group was able to achieve an operating profit of KShs. 7.5 billion before taxation compared to KShs. 6 billion in the previous year. The increase in 2004/05 pre-tax profits is largely due to the increase in volumes at Kenya Breweries.

DIVIDENDS

The Board is pleased to recommend a final dividend of KShs. 3.00 per share, which together with the interim dividend of KShs. 1.50 per share in February 2005, brings the full dividend for the year to KShs. 4.50 This represents a 30% increase above last year's dividend.

TAXATION

During the year, the Group paid KShs. 18.3 billion in direct and indirect taxes to the national exchequers of Kenya, Uganda and Tanzania. This is 53% of the Group's gross turnover and represents a significant contribution.

FINANCIAL MARKET AND INDUSTRY PERFORMANCE

EABL achieved a long held financial objective of listing on the Dar-es-Salaam Stock Exchange this year.

With this milestone, EABL becomes the second foreign company to cross list on the three East African stock exchanges. With our market capitalisation having hit US \$ 1 billion mark at the NSE this year, EABL is today arguably the most highly capitalised company on the three East African stock exchanges.

One of the developments that had a positive impact on the performance of the EABL stock has been the share split implemented in November 2004. This has been a great success, driving renewed interest from investors with the share price increasing by 50% since the split.

In terms of broader recognition, EABL was once again awarded the prestigious title of 'The Most Respected Company in East Africa' by the East African business community, in 2004. The survey of executives across the region was conducted by PricewaterhouseCoopers and the Nation Media Group.

Kwa maoni yetu, matokeo bora na mafanikio makuu yaliyopatikana mwaka uliopita, kwa mara nyingine yanaangazia ukweli kwamba mtazamo wetu imara wa uwekezaji katika vipengele vyote vya biashara yetu, hasa wafanyikazi wetu, chapa zetu na njia zetu za uzalishaji zitaendelea kuimarisha ushindi wetu.

MATOKEO

Nina furaha kuripoti kwamba Kampuni ilifanikiwa kupata faida ya shilingi bilioni 7.5 za Kenya, kabla ya kutozwa ushuru, ikilinganishwa na shilingi bilioni 6 za Kenya, katika mwaka uliopita. Nyongeza iliyopatikana kabla ya kutozwa ushuru katika mwaka 2004/05, imetokana hasa na ongezeko la uuzaji katika Kenya Breweries.

MGAWO WA FEDHA

Halmashauri ina furaha kupendekeza mgawo wa mwisho wa shilingi 3.00 za Kenya kwa kila hisa, ambayo pamoja na mgawo wa muda wa shilingi 1.50 za Kenya kwa kila hisa, uliolipwa mwezi wa Februari 2005, unafanya jumla ya mgawo wa shilingi 4.50 za Kenya. Hii inawakilisha nyongeza ya asilimia 30 juu ya mgawo wa mwaka jana.

USHURU

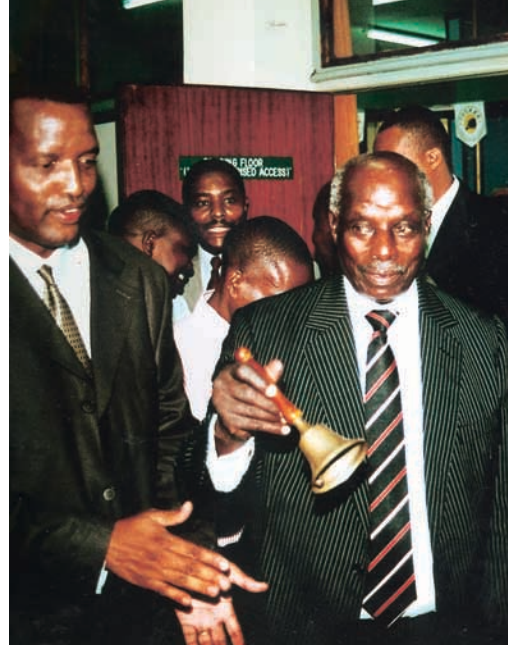
Mwaka huu, kampuni imelipa shilingi bilioni 18.3 za Kenya kama ushuru kwa hazina za kitaifa nchini Kenya, Uganda na Tanzania. Hii ni asilimia 53 ya faida inayopatikana kabla ya kulipa ushuru na inawakilisha mchango mkubwa.

SOKO LA KIFEDHA NA UTEKELEZAJI KATIKA KIWANDA

EABL ilifaulu kutimiza lengo lake la kifedha la muda mrefu, la kuorodheshwa katika Soko la Hisa la Dar-es-Salaam, mwaka huu. Kupitia tukio hili maalum EABL inakuwa kampuni ya pili ya kigeni kuorodheshwa katika masoko ya hisa ya nchi tatu za Afrika Mashariki. Huku mtaji wetu ukifikia kiwango cha dola bilioni moja za Marekani katika Soko la Hisa la Nairobi mwaka huu, hivi leo EABL ndio kampuni kubwa zaidi kifedha iliyo katika masoko ya hisa matatu ya Afrika Mashariki.

Mojawapo ya maendeleo yaliyosaidia kuathiri utendajikazi wa akiba ya EABL ni ugawaji wa hisa ulioanzishwa mwezi Novemba 2004. Huu umekuwa ushindi mkubwa, ukiongeza hamu kubwa kutoka kwa wawekezaji huku bei ya hisa ikiongezeka kwa asilimia 50 tangu ugawaji huo.

Kwa kutambuliwa katika eneo pana, kwa mara nyingine tena, EABL ilizawadiwa jina la hadhi kama 'Kampuni Inayoheshimika Zaidi katika Afrika Mashariki' na jumuiya ya



"EABL becomes the second foreign company to cross list on the three East African stock exchanges."

chairman's statement continued

taarifa ya mwenyekiti inaendelea

We are, indeed, very proud of this achievement and wish to thank all our staff and business partners for helping us to achieve this highly coveted recognition.

THE BOARD

Mr. Peter D Fullam, the former Group Finance Director, Mr. J K Mwangi and Mr. I K Cheluget resigned from the company. Mr. Andrew Ndegwa, Mr. Wilfred Kiboro and Dr. Nick Blazquez were appointed directors of the Board.

OUR PEOPLE

We continue to place great emphasis on the role played by our staff in the development and growth of our business in the region. We are particularly proud of the many and varied skills that they bring to the business. We operate a carefully monitored recruitment programme, which has enabled us to further strengthen our team by enriching it with some of the most promising career profiles available on the market. Not only are we fully committed to unlocking the optimum potential of our employees, but we have also adopted a human resource strategy that allows us to build on staff strengths and develop their potential for leadership.

We continue to maintain a high level of staff training and have observed that the skills imparted translate rapidly into tangible improvements in the work place. Looking to the future, we are committed to enhancing our performance management system so as to allow our employees not only to realize their personal objectives, but also to enjoy the confidence of knowing that they constitute a highly valued part of our overall team. Such is our position as one of East Africa's preferred 'employers of choice', that we are pleased to report that staff turnover for the past year has been minimal.

We are presently in the process of introducing a 'one company culture' to the Group. This will allow us to embrace a unified set of values while encouraging each of our business units to draw positively upon the synergies of our companies. We believe that the new culture will further broaden the horizons of our corporate career development opportunities whilst enhancing our already formidable strengths within the market.

We recognise the importance of rewarding the efforts of our staff; and are committed to maintaining remuneration policies that are both realistically market-led, and dynamically performance-driven. Our range of staff-incentive schemes continue to

kibiashara kutoka Afrika Mashariki, mwaka wa 2004. Uchaguzi huu wa maafisa wakuu katika maeneo yote ulifanywa na Pricewaterhouse Coopers na Kampuni ya Nation Media.

Kwa kweli, tunajivunia ushindi huu na tungependa kuwashukuru wafanyakazi wetu wote na washiriki wote wa kibiashara kwa kutuwezesha kupata tuzo hii ya kutambulika.

HALMASHAURI

Bw. Peter D. Fullam, aliyekuwa Mkurugenzi wa Kifedha wa Kampuni, Bw. J K Mwangi na Bw. I K Cheluget walijiuzulu kutoka kwa kampuni. Bw. Andrew Ndegwa, Bw. Wilfred Kiboro na Dkt. Nick Blazquez walichaguliwa kuwa wakurugenzi wa Halmashauri.

WAFANYIKAZI WETU

Tunazidi kuisitiza zaidi nafasi wanayochukua wafanyakazi wetu katika kuendeleza na kukuza biashara yetu katika eneo hili. Tunajivunia hasa ujuzi wao wa aina mbalimbali ambao wao huleta kwa biashara hii. Sisi huendesha mpango wa kuajiri uliochunguzwa kwa makini, ambao umetuwezesha kuimarisha zaidi timu yetu kwa kuitajirisha kwa kuwa na baadhi ya wale walio na ujuzi wa kufana zaidi, unaopatikana katika soko. Hatujajitolea tu kuhakikisha kwamba tunauvumbua uwezo wa upeo wa juu wa wafanyakazi wetu lakini pia tumekuwa na mikakati ya kuwaimarisha wafanyakazi, ambayo inatuwezesha kuwaimarisha zaidi na kuukuza uwezo wao katika uongozi.

Tunaendelea kudumisha kiwango cha juu cha mafunzo kwa wafanyakazi wetu na tumeonelea kwamba ujuzi unaopatikana hugeuzwa mara moja kuwa maendeleo halisi, mahali pa kazi. Tukiangazia siku za usoni, tumejitolea kuuboresha utendajikazi wetu wa mfumo wa uongozi ili kuwaruhusu wafanyakazi wetu, sio tu kutambua malengo yao ya kibinafsi, lakini pia kufurahia uhakika wa kujua kwamba wao pia ni kati ya wale wanaothaminiwa sana katika timu yetu kwa jumla. Afrika Mashariki tumeshikilia nafasi ya kwanza kwa wale tunaonua kuwaajiri, ambapo tunafuraha kuripoti kwamba mabadiliko ya wafanyakazi kwa mwaka uliopita yamekuwa ya chini mno.

Kwa sasa tuko katika harakati za kuanzisha 'utamaduni wa shirika moja' kwa kampuni. Hii itatuwezesha kuwa na maadili ya pamoja yatakayotuunganisha huku tukihimiza kila moja ya vitengo vya biashara yetu, kuungana pamoja kutokana na faida ya makampuni yetu. Tunaamini kwamba utamaduni huu mpya utapanua zaidi mipaka ya nafasi za kuendeleza uongozi kazini huku tukizidisha uwezo wetu ulio thabiti katika soko.

"We continue to maintain a high level of staff training and have observed that the skills imparted translate rapidly into tangible improvements in the work place."



chairman's statement continued

taarifa ya mwenyekiti inaendelea

feature prominently in the strategy of the Group, and have already delivered dynamism in our drive towards ever-increasing productivity.

The Group has been successful in consolidating a previously diverse range of smaller retirement benefit schemes into one large and streamlined entity, now called the 'Retirement Benefits Scheme 2003'. As a result, the benefits of the newly strengthened and unified Scheme can be enjoyed by all, and we shall shortly implement a system whereby our members may make 'Additional Voluntary Contributions' (AVCs) to the scheme.

In the sphere of corporate governance, we are committed to upholding the standards of good governance expected of a leading organization such as our own. We continue to adhere strongly to the Group's stated 'Code of Conduct' and to feature it prominently in all matters relating to staff relations and public responsibility. Over the past year, the Group has also initiated a corporate 'Employee Alcohol Policy', which provides guidance on responsible drinking whilst encouraging our staff to act as examples to the community and consumers alike.

The success of the above strategies are, we believe, demonstrated in the confidence and integrity displayed by our staff; also by their unwavering commitment to the maintenance of optimum standards and the benefits of integrated teamwork.

MARKETING

The past year was an exciting one during which an impressive selection of brand innovations and brand renovations were implemented. We launched the following new products; Senator Keg, White Cap Light, V&A Fine Liqueur and Kane Extra Golden Spirit. We also re-dressed the labels for Tusker Malt Lager and Castle. Of the above initiatives the launch of Senator Keg, a 100% barley-brewed beer, marked a significant breakthrough into a new target market in which we had not previously been represented. As a result, we believe that Senator Keg will prove a key motivator in our drive towards ever-increasing market share. The Group has also negotiated a strategic partnership with Heineken, which will add yet another brand to our already strong portfolio of leading beer brands.

In terms of community investment, the Group made a far-reaching decision to support the development of Kenya's national sporting initiatives. As a result, a three-year 'Sports Sponsorship

Tunatambua umuhimu wa kuzitua juhudi za wafanyakazi wetu na tumejitolea kudumisha sera za kuzawadia ambazo zinaongozwa na soko kwa uhalisia na zenye uwezo wa kutekeleza. Mipango yetu mbalimbali ya kuwapa wafanyakazi motisha inaendelea kujitokeza waziwazi katika mikakati ya kampuni na tayari imewezesha kuweko kwa matokeo katika harakati zetu za kuongeza zaidi uzalishaji.

Kampuni imefaulu katika kuunganisha mipango ya kustaafu midogo midogo ambayo hapo mbeleni ilikuwa mbalimbali, kuwa kitu kimoja kilichorahisishwa na kuitwa 'Mpango wa Kustaafu wa Faida 2003'. Kutokana na hayo, faida ya mpango huu mpya ulioimarishwa na kuunganishwa utafurahiwa na wote na hivi karibuni tutaanzisha mfumo ambapo wanachama wetu wataweza kutoa 'mchango wa ziada wa kujitolea' kwa mpango huu.

Katika uwanja wa uongozi bora, tumejitolea kuimarisha viwango vya uongozi mzuri unaotarajiwa kutoka kwa shirika linaloongoza kama letu. Tunaendelea kushikilia kwa nguvu kauli ya kampuni ya 'Kanuni za Maadili' na kuangazia maradufu katika shughuli zote za uhusiano na wafanyakazi na uwajibikaji wa umma. Mwaka uliopita, kampuni pia ilianzisha 'Sera ya Vileo kwa Wafanyakazi' inayotoa mwongozo juu ya unywaji wenye uwajibikaji, huku ukiwahimiza wafanyakazi wetu kuwa kielelezo bora kwa jamii na watumiaji kwa jumla.

Ufanisi wa mikakati hiyo mbalimbali, tunaamini, ulionyesha katika imani na uadilifu wa wafanyakazi wetu, pia kutokana na kujitolea kwao kuliko imara ili kudumisha viwango vya juu kabisa na faida ya kufanya kazi kwa ushirikiano.

UUZAJI NA UTANGAZAJI

Mwaka uliopita ulikuwa wa kusiimua ambapo chapa kadhaa za kupendeza na kusiimua ziliveza kufanywa upya. Tulizindua bidhaa mpya zifuatazo; Senator Keg, White Cap Light, V & A Fine Liqueur na Kane Extra Golden Spirit. Pia tuligeuza vitambulisho vya Tusker Malt Lager na Castle. Kufuatia hayo yote, uzinduzi wa Senator Keg, ambayo ni bia yenye shayiri 100%, ulionyesha mafanikio mapya katika soko jipya lililolengwa ambapo hapo awali hatukuwa tumewakilishwa. Hivyo basi, tunaamini kwamba Senator Keg itakuwa hamasisho muhimu katika soko linalozidi kuongezeka. Kampuni ilishauriana na Heineken ili kuwa na ushirikiano nao, ambao utaongeza chapa nyingine kwa mkusanyiko wetu ulioimarika wa chapa za bia zinazongoza.



chairman's statement continued

taarifa ya mwenyekiti inaendelea

"In Tanzania our key brand, Tusker, continues to go from strength to strength"

Commitment' was drawn up and underscored by an initial investment of Kshs. 330 million. Sponsorship activities were inaugurated with a high-profile Tusker Race Day in celebration of the centenary of horse racing in Kenya. This was followed by the Tusker Kenya Open Golf Tournament, an inaugural Tusker International Athletics Meeting and an impressive Tusker Safari Sevens Rugby Event, complete with world-class teams and entertainment. Finally the Johnnie Walker/Tusker Malt Golf Series resulted in eight local winners being invited to join a VIP trip to the Johnnie Walker Classic Golf Series in Beijing, China.

With regard to our investment in brand-linked activities and events, we sustained the momentum established in previous years with an impressive line-up of rewarding promotions and events. 'Bambua Tafrija', which marked the largest award of prize money in Kenya's promotional history, was a great success. Consumers of Tusker, Pilsner, Guinness and Richot were rewarded with the opportunity to win some Kshs 90 million in prizes. Finally, the Smirnoff Experience, though enjoying record-breaking attendance, was marred by a series of tragic events, which regrettably occurred due to circumstances entirely beyond our control.

In Tanzania our key brand, Tusker, continues to go from strength to strength in growth whilst Malta Guinness continues to make significant advances in market share.

In Uganda, the launch of Senator Lager, which had previously proved so effective in Kenya, was successfully replicated. And such was its impact that Senator Lager currently enjoys over 10% of the Ugandan branded beer market share – a remarkable achievement which owes much to the superiority of the brand and the orchestration of the marketing and distribution initiatives. UBL was also successful in launching the spirit, Liberty Waragi, which is already making energetic inroads into Uganda's market for branded spirits, having rapidly attained an impressive 5% of the total market share.

Meanwhile the acclaimed Bell Lager, Uganda Breweries' flagship brand and Uganda's leading branded beer continues to lend its support to Uganda's prime music event, the prestigious Pearl of Africa Music (PAM) Awards. As a reward to consumers, however, this year saw the event staged in diverse regions right across the country.

Upane wa uwekezaji katika jamii, kampuni iliamua kutoa msaada kwa nchi ya Kenya ili kuendeleza juhudi zake katika michezo ya kitaifa. Matokeo yake yalikuwa, 'Kujitolea kwa Udhhamini wa Michezo' kwa miaka mitatu ilikubaliwa na uwekezaji wa awali wa shilingi milioni 330 za Kenya ukatolewa. Michezo iliyodhaminiwa ilianzishwa na ile ya kusifika sana ya Tusker Race Day, kwa kusherehekea miaka mia moja ya mbio za farasi nchini Kenya. Hii ilifuatiwa na Tusker Kenya Open Golf Tournament, kuanzishwa kwa Tusker International Athletics Meeting na Tusker Safari Sevens Rugby Event iliyofana sana kwa kuwa na timu za kimataifa na tamasha mbalimbali. Mwishowe, Johnnie Walker / Tusker Malt Golf Series ilioishia na washindi wanane wa humu nchini kualikwa kujiunga na safari maalum hadi kwa Johnnie Walker Classic Series huko Beijing, Uchina.

Kutokana na uwekezaji wetu katika shughuli mbalimbali zinazoambatanishwa na chapa, tulidumisha msukumo tuliouweka katika miaka iliyopita kwa kuwa na msururu wa utangazaji na matokeo yaliyofana sana. 'Bambua Tafrija' ambayo iliashiria kiwango kikubwa cha pesa kutolewa kama zawadi, katika historia ya utangazaji na uuzaji nchini Kenya, ilifana sana. Watumiaji wa Tusker, Pilsner, Guinness na Richot walituzwa kwa kupewa nafasi ya kujishindia shilingi milioni 90 za Kenya kama zawadi. Mwishowe, kulikuwa na Smirnoff Experience ambayo ingawa ilihudhuriwa na kiasi kikubwa zaidi cha watu, ilipakwa tope na matokeo ya kusikitisha yaliyotokea kutokana na sababu ambazo zilizi uwezo wetu.

Nchini Tanzania, chapa yetu ya Tusker, inazidi kuimarika huku Malta Guinness ikiendelea kupiga hatua katika soko.

Nchini Uganda, kuanzishwa kwa Senator Lager, ambayo ilikuwa na mafanikio mengi nchini Kenya, kulifaulu. Athari ya Senator Lager kwa sasa ni zaidi ya asilimia 10 ya bia zenye chapa katika soko nchini Uganda – jambo la kujivunia mno lililotokana na ubora wa chapa na uuzaji na ugawaji uliofana sana. UBL pia ilifanikiwa kuanzisha kinywaji kikali cha Liberty Waragi, ambacho tayari kimeanza kutambulika katika soko la vinywaji vikali vyenye chapa nchini Uganda, kwa kuweza kufikia kiwango cha asilimia 5 katika soko.

Vilevile, kinywaji maarufu cha Bell Lager, chapa ya Uganda Breweries na kinywaji kinachoongoza nchini Uganda kinaendelea kutoa usaidizi wake kwa shughuli za kimuziki nchini Uganda, kupitia kwa mashindano ya Pearl of Africa Music (PAM) Awards. Hata hivyo, kama zawadi kwa wateja, mwaka huu tamasha hizo zilifanywa katika maeneo mbalimbali humo nchini.



chairman's statement continued

taarifa ya mwenyekiti inaendelea

COMMUNITY SOCIAL RESPONSIBILITY

Making a positive impact is very important for EABL. As one of the major businesses of the region and one of the most respected, we want the communities of East Africa to benefit from our presence. We believe it's our duty to do as much as possible to help communities in need. Each year we have given the area of corporate social responsibility increased focus.

Last year we became the first company in East Africa to launch a Corporate Citizenship Report. The report documents the impact EABL makes in the region in terms of the economy, quality standards, and the environment and community projects. This year I am pleased to announce that we launched the EABL Foundation in both Kenya and Uganda on the 30th of June. His Excellency the Vice President and Minister for Home Affairs, Honorable Moody Awori officially launched the EABL Foundation in Nairobi, while His Excellency the Vice President of Uganda, Honorable Gilbert Bukenya launched the Foundation in Kampala.

The EABL Foundation will help communities in need through the key areas of access to clean water, health, education and skills. The Foundation will also focus on funding projects that protect and conserve the environment, as well as projects that fund national emergency issues. It will enable us to operate our community programmes more effectively through the resources of dedicated personnel and a more focused approach.

Last year, our Board approved 1% of our profitability after tax to go towards community programmes. The EABL Foundation will use the 1% as a base and we are sure it will attract additional funds from other corporates and donors.

In a country by country analysis of our communities' activities, we continue to make a real impact and improve the lives of thousands of East Africans.

Kenya

This year we launched another Water of Life Project, this time in Nzueni in Eastern Province, which was hard hit by last year's famine. The Water of Life project, valued at Ksh 5 million, will benefit 55,000 local residents through the rehabilitation of an existing borehole; the project will also install pumping equipment and a pipeline to carry the water to various distribution points in the community.

JUKUMU LA UONGOZI KATIKA JAMII

Ni muhimu sana kwa EABL kutambulika kwa mazuri. Kama moja ya biashara kubwa zaidi katika eneo hili na inayoheshimiwa zaidi, tunataka jumuiya za Afrika Mashariki kunufaika kutokana na uwepo wetu. Tunaamini ni jukumu letu kufanya kadiri ya uwezo wetu kuzisaidia jumuiya zilizo na mahitaji. Kila mwaka sisi huangazia zaidi swala hili la jukumu la uongozi. Mwaka jana tulikuwa kampuni ya kwanza katika Afrika Mashariki kuanzisha ripoti ya uraia wa shirika. Ripoti hii inaonyesha athari za EABL katika eneo hili kupitia kwa uchumi, viwango vya hali ya juu na mazingira na miradi ya kijamii. Mwaka huu, nina furaha kutangaza kwamba tulianzisha Wakfu wa EABL nchini Kenya na Uganda mnamo tarehe 30 Juni. Mheshimiwa Makamu wa Rais na Waziri wa Mambo ya Kinyumbani, Mheshimiwa Moody Awori alifungua rasmi Wakfu wa EABL jijini Nairobi, huku Mheshimiwa Makamu wa Rais wa Uganda, Mheshimiwa Gilbert Bukenya akifungua Wakfu jijini Kampala.

Wakfu wa EABL utasaidia jumuiya iliyo na mahitaji kupitia kwa mambo kama kupata maji safi, afya, elimu na ujuzi. Wakfu pia utaangazia kusimamia miradi inayolinda na kuyahifadhi mazingira, pamoja na miradi inayosimamia shughuli za dharura za kitaifa. Itatuwezesha kuwa na utendekazi katika mipango yetu ya kijamii kwa ubora zaidi kupitia kwa watu waliojitolea zaidi na mwelekeo wenye lengo.

Mwaka uliopita, Halmashauri yetu iliidhinisha kiwango cha asilimia 1 cha faida yetu baada ya kutozwa ushuru kutumiwa katika mipango ya kijamii. Wakfu wa EABL utatumia asilimia moja kama kipimo na tuna uhakika kwamba utavutia fedha zaidi kutoka kwa mashirika na wafadhili.

Kupitia kwa uchunguzi wa shughuli za jumuiya zetu kutoka nchi hadi nchi, tunaendelea kupata matokeo mazuri na kuyaboresha maisha ya maelfu ya watu wa Afrika Mashariki.

Kenya

Mwaka huu, tulianzisha mradi mwingine wa Maji ya Uzima, huko Nzuweni katika Mkoa wa Mashariki, ambao uliathiriwa sana na njaa ya mwaka jana. Mradi wa Maji ya Uzima, ulio na thamani ya shilingi milioni 5 za Kenya, utawafaidi wakazi 55,000 kupitia kwa kuundwa upya kwa kisima kilichopo, mradi pia utaweka vifaa vya kuvutia maji na bomba la kupitisha maji hadi kwenye vituo mbalimbali vya ugavi katika jumuiya.

Vilevile mwaka huu, tulianzisha mradi wa Maji ya Uzima huko Wepma karibu na Thika na kuukabidhi kwa jumuiya ya Gakoe. Watu wapatao 9,000 wananufaika na maji safi yanayotokana na mradi huu. Tunatarajia

“ His Excellency the Vice President and Minister for Home Affairs, Honorable Moody Awori officially launched the EABL Foundation in Nairobi ”



chairman's statement continued taarifa ya mwenyekiti inaendelea

During the year we also commissioned the Water of Life Project in Wepma near Thika and handed it over to the Gakoe community. Up to 9,000 people are benefiting from access to clean water that the project provides. We expect to commission the Water of Life for Nyatigo village in the coming months.

I am very pleased to report that all our Water of Life projects have not only given communities access to clean water, but have improved the health of the community and provided more time to devote to income generating endeavors.

Education has always been a strong focus for the Group. The Guinness Strathmore Scholarships valued at Ksh 35 million have changed the lives of 40 financially needy but academically bright students from 2001 to 2004. The original ten Guinness Scholars who commenced studies in 2001 graduated last year and I am very pleased to report that all are now engaged either in employment or are continuing their studies. This is a great achievement and it indicates the huge success of the scholarship programme.

This year we built on the success of the Guinness Scholarship programme by launching an East Africa wide scholarship programme, with emphasis on a variety of degrees. The EABL Scholarship Programme, valued at Ksh 19 million, will offer degrees in business, Information Technology, Food Science and Engineering to students in both Strathmore University and public universities across the region.

In the area of health we have funded medical camps for Meru and Nairobi West prisons.

We also offered major support in last year's famine. We partnered with Nation Media Group and Standard Chartered Bank to launch the Save a Life Fund. By December 2004 the Fund had raised a record Ksh 90 million in both cash and food donations to the Kenya Red Cross. Most importantly the Save a Life Fund provided emergency food relief to 70,000 Kenyans.

Uganda

Uganda Breweries has funded a successful rain-water harvest project in Kabale District. The 100 rain-water harvest tanks have been built by the women from the community and indeed have not only benefited the families in the areas but have also improved the self-esteem of the women involved leading them to take on more income generating projects.

"Water of Life projects have not only given communities access to clean water, but have improved the health of the community"

kuanzisha Mradi wa Maji ya Uzima katika kijiji cha Nyatigo hivi karibuni.

Tunafuraha kuripoti kwamba miradi yetu yote ya Maji ya Uzima imeziwezesha jumuiya kupata maji safi mbali na kuboresha viwango vyao vya afya ili kuwapa nafasi zaidi kujishughulisha na juhudi za kuzalisha mali.

Elimu ni jambo ambalo limeangaziwa sana na Kampuni. Msaada wa Masomo wa Guinness Strathmore wenye thamani wa shilingi milioni 35 za Kenya, umeyabadilisha maisha ya wanafunzi 40 ambao ni wewevu lakini hawajiwezi kifedha, kuanzia 2001 hadi 2004, wasomi wa Guinness wa kwanza wapatao 10 ambao walianza masomo yao mwaka 2001 walifuzu mwaka uliopita na nina furaha kuwajulisha kwamba wote kwa sasa, aidha wameajiriwa au wanaendelea na masomo. Haya ni mafanikio makubwa yanayoashiria kufaulu kwa mpango huu wa udhamini.

Kufuatia ufanisi wa mpango wa Msaada wa Masomo ya Guinness mwaka huu tumeanzisha mpango wa msaada wa kifedha katika eneo la Afrika Mashariki, tukizingatia shahada mbalimbali. Mpango wa Msaada wa EABL, ulio na thamani ya shilingi milioni 19 za Kenya, utatumiwa kwa shahada za Biashara, Teknolojia ya Mtandao, Sayansi ya Chakula na Uhandisi, kwa wanafunzi walio katika Chuo Kikuu cha Strathmore na vyo vikiu vingine vya umma vilivyo katika eneo hili.

Upande wa afya tumesimamia kambi za matibabu katika jela za Meru na Nairobi West.

Tulihusika katika kutoa msaada wakati wa tatizo la njaa mwaka uliopita. Tulishirikiana na Kampuni ya Nation Media na Benki ya Standard Chartered kuanzisha Hazina ya Kuokoa Maisha. Kufikia mwezi wa Desemba 2004, hazina hii ilikuwa imekusanya shilingi milioni 90 za Kenya, ambayo ni rekodi, zilizokuwa kama pesa taslimu na misaada ya chakula kwa Shirika la Msalaba Mwekundu. Cha muhimu zaidi ni kwamba Hazina ya Kuokoa Maisha iliweza kutoa msaada wa dharura wa chakula kwa Wakenya elfu 70.

Uganda

Uganda Breweries ilifanikiwa kugharamia mradi wa kuyateka maji ya mvua katika Wilaya ya Kabale. Matangi 100 ya kuyateka maji yamejengwa na wanawake katika jumuiya hiyo na kwa kweli hayajazinu faisha tu familia zilizoko katika sehemu hiyo bali pia zimeinua hadhi ya wanawake waliohusika, huku ikiwaongoza kujishirikisha na mipango zaidi ya kuzalisha mali.



chairman's statement continued

taarifa ya mwenyekiti inaendelea

The company has continued to be involved in the National Wetlands Programme. UBL recognizes that protecting the natural wetlands is important for current existence and future generations. Contributing towards the Wetlands programme will assist better wetlands management and consequently the conservation of wetland biodiversity.

Uganda Breweries has continued to assist the Communication and Outreach Programme for the Sickle Cell Association in Kampala. In addition, Uganda Breweries has sponsored renovations of the Kamwokya Vocational Skills School which assists HIV/Aids young adults acquire various skills.

The company has donated to numerous charities through its Appeals Committee. The Uganda Women Efforts to Save Orphans (UWESO) received Ushs 25 Million from a charity golf tournament organized and sponsored by UBL.

Tanzania

Our presence in Tanzania is growing, our brands and shares are represented and we now want to increase our community profile throughout the country. We launched two scholarships for academically bright but needy Tanzanians in a range of degrees through our EABL Scholarship Programme.

We are also in discussion with Kilimanjaro Christian Medical Centre (KCMC) to construct an optical wing, which will provide both medical treatment and surgery to patients suffering from eye related problems and diseases. The total cost of this project will be Ksh 5 million and will be ready by end of 2005.

Overall, we are proud of our community work implemented across the region. With the launch of the EABL Foundation and the commitment to spend 1% of our profits on community activities, the positive impact of EABL will only increase.

Focus on Responsible Drinking

As the leading alcohol beverage company in East Africa, we believe that we have a strong role to play in the area of responsible drinking. Consumed in a responsible manner, alcoholic beverages can be part of a healthy lifestyle. We do however recognize that the inappropriate consumption of alcohol can have negative consequences.

Kampuni imeendelea kujihusisha na Mpango wa Kitaifa wa Sehemu Nyeuvunyevu. UBL inatambua kwamba kulinda sehemu nyeuvunyevu asili, ni muhimu kwa vizazi vya sasa na vya siku zijazo. Kuchangia kwa mpango wa Sehemu Nyeuvunyevu kutasaidia zaidi katika utumiaji wa sehemu hizi na hivyo basi kuhifadhi hali tofauti zinazopatikana katika sehemu nyeuvunyevu.

Uganda Breweries inaendelea kutoa msaada kwa Mpango wa Mawasiliano na Usaidizi kwa Chama cha Ugonjwa wa Anaemia Silimundu (Sickle Cell) jijini Kampala. Kuongezea, Uganda Breweries imedhamini ukarabati wa Shule ya Kiufundi ya Kamwokya inayowasaidia vijana walio na HIV/AIDS kupata ujuzi mbalimbali.

Kampuni pia imechangia miradi mbalimbali ya kuchangia pesa, kupitia kwa kamati ya maombi. Juhudi za Wanawake wa Uganda Kuwaokoa Mayatima, yaani Uganda Womens Efforts to Save Orphans (UWESO), ilipokea shilingi milioni 25 za Uganda kutoka kwa mashindano ya golfu ya kuchangisha pesa, yaliotayarishwa na kudhaminiwa na UBL.

Tanzania

Tunazidi kujiimarisha nchini Tanzania, chapa na hisa zetu zinawakilishwa na sasa tungependa kuongeza umbo letu kijamii katika nchi yote. Tulitoa udhamini wa misaadi miwili ya elimu, kwa Watanzania walio werevu lakini hawajiwezi kifedha, kwa shahada kadhaa kupitia kwa mpango wetu wa EABL.

Tuko katika harakati za kujadiliana na Kilimanjaro Christian Medical Centre (KCMC) ili kujenga sehemu ya macho ambayo itatoa matibabu na upasuaji kwa wagonjwa wanaouguwa kutokana na magonjwa na shida zinazohusiana na macho. Gharama ya jumla ya mradi huu itakuwa jumla ya shilingi milioni 5 za Kenya na itakuwa tayari kufikia mwisho wa mwaka 2005.

Kwa jumla, tunajivunia kazi yetu ambayo tumeifanya katika jumuiya yetu katika eneo hili. Kwa kuanzishwa kwa Wakfu wa EABL na kujitolea kwetu kutumia asilimia 1 ya faida yetu kwa shughuli mbalimbali katika jumuiya, kutachangia kwa kuongezeka kwa athari maradufu ya EABL.

Kuangazia unywaji wenye uwajibikaji

Kama kampuni inayoongoza katika biashara ya vinywaji vya vileo katika Afrika Mashariki, tunaamini kwamba tuna nafasi muhimu sana katika uwanja wa unywaji wenye



"UBL recognizes that protecting the natural wetlands is important for current existence and future generations."

chairman's statement continued

taarifa ya mwenyekiti inaendelea

We have always been committed to ensuring that our advertising, marketing and promotions are implemented responsibly. The company has initiated and implemented a comprehensive code of marketing which is a policy that sets guidelines on how alcoholic brands can be marketed and promoted. For example excessive drinking is not condoned or promoted and we ensure that we do not use anyone under the age of 25 in any advertising or promotional campaigns.

We also believe that we have a role to play in educating consumers on the responsible consumption of alcohol.

In September last year, we launched an alcohol education campaign Drink Responsibly, Live Responsibly in Kenya. The campaign promotes the responsible consumption of alcohol by adults, and helps create awareness on the consequences of irresponsible drinking. Through the campaign we have developed billboards and press advertising to instill in consumers the need to drink responsibly and tips to show consumers how they can stay in control.

The Drink Responsibly, Live Responsibly campaign is implemented in partnership with renowned psychiatrist, Dr. Frank Njenga. Dr Njenga is developing responsible drinking materials as well as giving a series of educational talks on alcohol and health issues to university students and media groups.

As part of the campaign Dr Njenga is writing an educational guide for parents and teachers on how to handle and discuss alcohol issues with young people. He also writes a weekly column in the Daily Nation to answer questions on health issues and alcohol consumption.

Initial response indicates the campaign has been a success. Kenyan consumers are at the very least aware of the need to drink responsibly. We plan to intensify the campaign in Kenya and we will also be implementing a similar campaign very soon in Uganda.

To complement the campaign, we have also taken steps to ensure a responsible drinking message is carried on all our brand and promotional advertising. This includes a clear message that our products are not for sale to those under 18.

Our bottle labels contain the same message and we also ensure that our products do not retail in kiosks.

uwajibikaji. Vinywaji vya vileo vikinywewa kwa njia ya uwajibikaji, vinaweza kuchangia kwa mtindo wa maisha wenye afya. Hata hivyo tunatambua kwamba unywaji usiofaa wa vileo unaweza kuwa na matokeo yasiyopendeza.

Daima tumejitolea kuhakikisha kwamba utangazaji na uuzaji wetu unafanywa kwa njia iliyowajibika, na kampuni imebuni na kuanzisha Kanuni yenye kina juu ya uuzaji ambayo ni sera iliyo na miongozo juu ya uuzaji na utangazaji wa chapa za vileo. Kwa mfano unywaji wa kupindukia haukashifiwi wala kuhimizwa na tunahakikisha kwamba hatumtumii yeyote aliye chini ya miaka 25 katika kampeni zozote za utangazaji na uuzaji.

Tunaamini kwamba tuna jukumu kubwa la kuwaelimisha wateja juu ya unywaji wenye uwajibikaji wa vileo.

Mwezi Septemba mwaka jana, tulianzisha kampeni ya kuelimisha juu ya vileo, 'Kunywa kwa Kuajibika, Ishi kwa Kuwajibika' nchini Kenya. Kampeni hii inahimiza unywaji wenye uwajibikaji kwa watu wazima na kusaidia kujuza juu ya athari za unywaji. Kupitia kampeni hii tuna mabango na matangazo katika vyombo vya habari ili kuwahimiza wateja waone haja ya unywaji wenye uwajibikaji na mashauri ya jinsi wanavyoweza kujimudu wanapokunywa vileo.

Kampeni ya Kunywa kwa Kuajibika, Ishi kwa Kuajibika, ilianzishwa kwa ushirikiano na mtaalamu mashuhuri wa magonjwa ya akili, Dkt. Frank Njenga. Dkt. Njenga anabuni vifaa mbalimbali juu ya unywaji wenye uwajibikaji na vilevile kutoa mihadhara ya kielimu juu ya vileo na afya kwa wanafunzi wa vyuo vikuu na vikundi vya wanahabari.

Kama sehemu ya kampeni hii, Dkt Njenga anaandika mwongozo wa kielimu kwa wazazi na walimu utakaowasaidia kujadiliana na vijana, juu ya mambo yanayohusiana na vileo. Vilevile, yeye huandika makala ya kila wiki katika gazeti la Daily Nation ili kujibu maswali yanahusiana na afya na unywaji wa vileo.

Matokeo ya awali yanaonyesha ya kwamba kampeni hii imefaulu. Wateja nchini Kenya wametambua umuhimu wa unywaji wenye uwajibikaji. Tunapanga kuiongezea kasi kampeni hii nchini Kenya na pia tutaanzisha kampeni kama hii hivi karibuni, nchini Uganda.

Ili kuenda sambamba na kampeni hii, tumechukua hatua kuhakikisha kwamba ujumbe juu ya unywaji wenye uwajibikaji unapatikana juu ya chapa zetu zote na matangazo ya uuzaji. Hii ni pamoja na



chairman's statement continued

taarifa ya mwenyekiti inaendelea

Bar tender training courses remains an important part of our focus on responsible drinking. To date more than 3,000 bar staff across Kenya and Uganda have been trained on how to deal with consumers that have exceeded their limit and the importance of preventing underage consumption and the need to be diligent in checking identification.

The company has also implemented an Employee Alcohol Policy, which ensures that all EABL staff know and understand appropriate drinking behaviour. The policy discusses important topics such as drinking and driving, alcohol and the work place and problem drinking. All EABL staff are expected to demonstrate a responsible attitude to drinking.

HIGHLIGHTS FROM OUR SUBSIDIARIES

KENYA BREWERIES

Kenya Breweries enjoyed an excellent year of business during which the volume of beer produced grew by 16.1% over the previous year, and the pre-tax profits rose by 21% over the previous year.

The Company instigated a number of major sales initiatives, the most prominent being the introduction of the 'Sambaza' concept to Western Kenya, and the launch of the 'New Route to Market – Route Owners' initiative. So successful was the 'Sambaza' concept that within six months of its launch it had contributed towards an 11% growth over the previous year in Western Kenya's beer volumes. As a result, 'Sambaza' will be rolled-out nationally in October 2005. The Company also initiated both a 'National Distributor Convention' and a 'Distributor Management Programme'.

The Company introduced a number of new products during the year, such as Senator Keg and White Cap Light, while renovations were effected to the branding of Tusker Malt and Castle.

Over the last year, the Company has invested Kshs. 600 million in the installation of a state-of-the-art brew house, which has already improved upon energy usage by 35%. The Company has also invested Kshs. 255 in the installation of a new effluent treatment plant, which allows for compliance with National Environmental Management Authority Standards.

In order that it may meet volume projections for the next three years, the Company will also invest in the installation of the following plants over the period 2005/06;

ujumbe ulio wazi kwamba bidhaa zetu hazizuiwa kwa wale walio chini ya umri wa miaka 18.

Vitambulisho vyetu vilivyo kwenye chupa vina ujumbe huohuo na pia tunahakikisha kwamba bidhaa zetu hazizuiwa kupitia kwa viosk.

Mafunzo kwa wahudumu wa mabaa ni kiungo muhimu, tunapoangazia unywaji wenye uwajibikaji. Kufikia sasa, zaidi ya wahudumu 3,000 nchini Kenya na Uganda wamepata mafunzo ya jinsi ya kuwahudumia wateja ambao wamezidisha unywaji wao na umuhimu wa kuzuia wanywaji walio chini ya umri wa unywaji, unaokubalika kisheria na umuhimu wa kukagua vitambulisho.

Kampuni pia imeanzisha Sera ya Vileo kwa Wafanyikazi, ambayo inahakikisha kwamba wafanyikazi wote wa EABL wanafahamu na kuelewa maadili mema yanayohusiana na unywaji. Sera hii inashughulikia mada muhimu kama unywaji na uendeshaji, vileo na mahali pa kazi na unywaji unaotatiza. Wafanyikazi wote wa EABL wanatarajiwa kuonyesha mwelekeo unaofaa kuhusiana na unywaji.

MACHACHE YA UMUHIMU KUTOKA KWA MAKAMPUNI YETU.

KENYA BREWERIES

Kenya Breweries ilikuwa na mwaka wenye mafanikio katika biashara ambapo kiwango cha uuzaji ulikuwa kwa asilimia 16.1 zaidi ya mwaka uliopita, na faida kabla ya kutozwa ushuru ilizidi kwa asilimia 21, ikilinganishwa na mwaka uliopita.

Kampuni ilibuni njia kadhaa kuu za kuongeza mauzo, na iliyofana zaidi ilikuwa dhana ya 'Sambaza' huko Magharibi mwa Kenya, na kuanzishwa kwa 'Njia Mpya hadi Sokoni, - Wenye Njia. Dhana ya 'Sambaza' ilifaulu sana kiasi cha kwamba kwa muda wa miezi sita tangu ya kubuniwa kwake ilikuwa imechangia kukuwa kwa asilimia 11 zaidi ya mwaka uliopita katika mauzo ya bia katika Magharibi mwa Kenya. Kutokana na hayo, 'Sambaza' itaendelezwa kwa kiwango cha kitaifa, mwezi Oktoba 2005. Kampuni pia ilizindua 'Kongamano la Kitaifa la Wagavi' na 'Mpango wa Uongozi kwa Wagavi.'

Mwaka huu, Kampuni ilizindua bidhaa mpya kadhaa, ziliwemo Senator Keg na White Cap Light, huku chapa za Tusker Malt na Castle zikiboreshwa.

Kwa mwaka uliopita, Kampuni iliwekeza shilingi milioni 600 za Kenya katika uwekaji wa kiwanda kipya cha kisasa cha upikaji pombe, ambacho tayari kimeboresha matumizi ya kawi kwa asilimia 35. Kampuni



“The Company introduced a number of new products during the year, such as Senator Keg and White Cap Light”

chairman's statement continued

taarifa ya mwenyekiti inaendelea

- The launch of new dual purpose vessels at a cost of Kshs. 565 million;
- The installation of a new keg-line at a cost of Kshs. 425 million; and
- The installation of a new yeast plant at a cost of Kshs. 99 million.

Plans to integrate the Company's beers division and spirits division, which were instigated in 2003 with the amalgamation of their respective sales and marketing departments, will be completed with the relocation of the UDVK Spirits Production Unit to the Company's Ruaraka plant. The relocation, which will necessitate the installation of a state-of-the-art spirits bottling line at a cost of Kshs. 500 million, will be commissioned in November 2005.

As to investment in people, the Company's training initiatives over the past year were focussed on the enhancement of capability, the closure of skill-gaps and the identification of new training avenues. As a result, foundations were laid for a 'Competency Acquisition Program' (CAP), which it is envisaged will significantly improve the levels of people skills and leadership potential.

The Company is fully committed to the ethics of environmental responsibility and undertakes to act in such a way as to protect and enhance both the quality of life of the Kenyan people and the environmental integrity of the communities in which they live and work.

The Company is also committed to the support of practices commensurate with maintaining environmental sustainability and biodiversity. As a result, Kenya Breweries was proud to launch an initiative designed to raise the standards of occupational health and safety within the environment. This led towards the successful implementation of a formal 'Management System for Environment, Occupational Health and Safety', which was assessed against international standards ISO 14001:2004 and OHSAS 18001:1999, and attained standards compliancy certification in June 2005. The new system is expected to drive the Company's future environmental and safety agenda. The Company also maintained its certification to ISO 9001: 2000 and HACCP standards.

UGANDA BREWERIES LTD

The Ugandan beer market continued to flatten and, as a result, both the 'value' and 'premium' sectors showed considerable growth to the detriment of the mainstream brands. Despite this, the Company

"The Company is fully committed to the ethics of environmental responsibility"



pia imewekeza shilingi milioni 255 kwa ujenzi wa kiwanda kipya cha utunzaji maji machafu, ambacho kinakubaliana na Viwango vya Halmashauri ya Uongozi wa Mazingira ya Kitaifa.

Ili kutosheleza mauzo yaliyokadiriwa kwa miaka mitatu ijayo, Kampuni pia itawekeza katika ujenzi wa viwanda vifuatavyo kwa miaka 2005/06.

- Uzinduzi wa chombo kipya kinachoweza kutumika kwa kazi aina mbili, kitakachogharimu shilingi milioni 565 za Kenya.
- Ujenzi wa mtambo mpya unaotumia gudulia, utakachogharimu shilingi milioni 425 za Kenya.
- Ujenzi wa kiwanda kipya cha hamira kitakachogharimu shilingi milioni 99 za Kenya.

Mipango ya kuviweka pamoja vitengo vya Kampuni za bia na vinywaji vikali, ambayo ilianzishwa mwaka wa 2003 kwa kuunganishwa kwa idara zake za uuzaji na utangazaji, itamalizika kwa kuhamishwa kwa kitengo cha utengenezaji wa vinywaji vikali cha UDV(K) hadi kiwanda cha Ruaraka cha Kampuni. Uhamiaji huu ambao utalazimu ujenzi wa mtambo mpya wa kisasa wa uwekezaji vinywaji vikali machupani, kwa gharama ya shilingi milioni 500 za Kenya, utafunguliwa mwezi Novemba 2005.

Kulingana na uwekezaji wa watu, mipango ya Kampuni ya kutoa mafunzo kwa mwaka uliopita lililenga katika ukuzaji wa uwezo, kupunguza tofauti za ujuzi na utambuzi wa njia mpya za kutoa mafunzo. Kutokana na hayo, misingi iliwekwa ya 'Competency Acquisition Program' (CAP), ambayo inatumainiwa kwamba itaboresha viwango vya ujuzi na uongozi wa watu.

Kampuni imejitolea kikamilifu kwa uwajibikaji wa maadili ya kimazingira na imejitolea kutendakazi kwa njia ambayo italinda na kuboresha kiwango cha maisha cha wananchi wa Kenya na ukamilifu wa mazingira ambamo jumuiya hizi hushi na kufanya kazi.

Kampuni pia imejitolea kutoa usaidizi kwa kutoa vipimo vya utekelezaji kwa kudumisha uendelezaji wa mazingira na hali zake tofauti. Kutokana na hayo, Kenya Breweries ilijivunia uvumbuzi uliokusudiwa kuinua viwango vya afya na usalama katika mazingira. Hii ilifaulisha uanzilishi wa 'Mfumo wa Uongozi wa Mazingira, Afya na Usalama,' ambao ulipimwa dhidi ya viwango vya kimataifa vya ISO 14001:2004 na OHSAS 18001:1999, na kupata

chairman's statement continued

taarifa ya mwenyekiti inaendelea

maintained its position as the national market-leader and achieved its highest-ever recorded production and sales figures for the month of December 2004.

Bell continues to maintain its position as Uganda's leading beer brand, whilst sales of Tusker Malt Lager and Guinness continued to perform strongly.

Senator Extra Lager, which was launched during the year, also made aggressive inroads into the 'value' sector. The lager, which is produced using locally grown barley produced in the Kapchorwa region, enjoys the financial benefits derived from a lowering of excise rates on locally sourced produce. UBL is extremely pleased that its initiative and development of the barley project in Kapchorwa has greatly benefited and changed the lives of the local community. Up to 2,000 local out-growers, now benefit significantly from the scheme. The UBL Barley project has contributed to the Ugandan government's realization of a key sector of its strategy relating to the national 'Poverty Eradication Plan' (PEAP).

The Ugandan spirits market faced a challenging year due to the July increase in excise duty on locally manufactured spirits, which rose from 45% to 60%. This challenge apart, Uganda Waragi maintained its position as the strongest brand in the Company's spirits portfolio and recorded an energetic performance in the face of stiff competition from a large number of new entrants into the market, all of whom were engaged in the promotion of exceptionally cheap spirits products. In response to consumer demand, the Company launched Liberty Waragi into the 'value' sector where initial indications suggest that it will enjoy significant success.

The Company is strongly committed to environmental protection and places significant emphasis on the protection of Lake Victoria. To this end, the Company has invested in a multi-billion shilling wastewater treatment plant, which is the first of its kind in Uganda. The new plant, which will ensure the Company's compliance with international environmental standards, is already operational and will be commissioned in August 2005.

The Company has made major investments in the upgrading of a number of its production facilities and utilities, all of these having been successfully completed during the year.

viwango vinavyofuatana na vya hati ya uthibitisho katika mwezi wa Juni 2005. Mfumo huu mpya unatarajiwa kuielekeza ajenda ya Kampuni ya mazingira na usalama katika siku za usoni. Kampuni pia ilidumisha hati yake ya uthibitisho ya ISO 9001:2000 na viwango vya HACCP.

UGANDA BREWERIES LTD

Soko la bia la Uganda liliendelea kuanguka na kutokana na hayo, sekta za 'thamani' na 'bonasi' zilionyesha kukua, huku chapa kuu zikifikia. Licha ya haya, kampuni ilidumisha nafasi yake ya kitaifa kama kiongozi wa soko na kupata kiwango cha juu zaidi kuwahi kurekodiwa cha uzalishaji na mauzo kwa mwezi wa Desemba 2004.

Bell iliendelea kushikilia nafasi yake kama kiongozi wa chapa nchini Uganda, huku mauzo ya Tusker Malt Lager na Guinness yakiendelea kuimarika.

Senator Extra Lager, iliyoanzishwa mwaka huu, pia, iliingilia kwa nguvu sekta ya 'thamani'. Lager hii, ambayo hutengenezwa kwa kutumia shayiri inayokuzwa nchini katika sehemu ya Kapchorwa, inafaidika na kushushwa kwa viwango vya ushuru kwa bidhaa zinazokuzwa nchini. UBL ina furaha tele kwamba uanzilishi na ukuzaji wake wa mradi wa shayiri huko Kapchorwa umefaidika sana na kuyabadilisha maisha ya watu wa eneo hilo. Wakulima wa kukodishwa wapatao 2,000 wa humu nchini kwa sasa wananufaika kutokana na mpango huu. Mradi wa UBL wa Shayiri umechangia kwa serikali ya Uganda kutambua sekta muhimu ya mikakati yake inayohusiana na Mpango wa Kitaifa wa Kuuondoa Umaskini ('Poverty Eradication Plan' - PEAP).

Vinywaji vikali vilivyo katika soko la Uganda vilikabiliana na wakati mgumu mwaka huu kutokana na nyongeza ya ushuru katika mwezi wa Julai, kwa vinywaji vikali vinavyotengezwa humu nchini, iliyoipanda kutoka asilimia 45 hadi asilimia 60. Mbali na hayo, Uganda Waragi ilishikilia nafasi yake kama chapa ya vinywaji vikali iliyo maarufu zaidi na iliweza kukabiliana vikali na upinzani uliotokana na vinywaji vingine vipya katika soko, vilivyokuwa vikitangaza na kuuza bidhaa za vinywaji vikali vya hali ya chini. Kutokana na matakwa ya wateja wetu, Kampuni ilianzisha Liberty Waragi katika sekta ya 'thamani' ambapo tayari kuna dalili kwamba itakuwa na ufanisi mkubwa.

Kampuni imejitolea kuyalinda mazingira na inasisitiza umuhimu wa ulinzi wa Ziwa Victoria. Kampuni imewekeza katika mtambo unaosafisha maji machafu yanayotokana kwenye viwanda,



chairman's statement continued taarifa ya mwenyekiti inaendelea

KENYA MALTINGS

The Company has continued to lower its cost base throughout the year. As part of its commitment towards meeting the Group's demand for both barley and malt, the Company is pleased to report that it has sought a significantly increased hectareage production from local farmers for the coming season. In addition, the barley-growing programme currently in operation in Uganda has been considerably expanded, thus ensuring a continued lowering of our cost base for the future. The barley-breeding programme has also continued to yield good results and the Company is proud to announce the release of yet another barley variety in this growing season. The variety, 'Nguzo', which has already improved upon existing yield and disease-resistance performance, should ensure even better barley crops in the future.

Commensurate with the Company's commitment towards upgrading and enhancing the production of high quality malt, a focused capital investment programme has been initiated, which is expected to increase output and enhance quality while achieving greater levels of efficiency and cost control.

The past year also saw the Company commission the installation of an 'aerobic' effluent treatment plant, which is expected to make a valuable contribution towards environmental protection.

UDV KENYA

Over the past year the Company has faced the challenges implicit in the governmental ban on the sales of spirits in sachets, which has impacted negatively on marketing profiles in 'value' and 'mid-range' sectors. The Company has reacted vigorously to the impact of the ban and has been able to recover substantial volume by increasing the amount of product sold in glass. In an attempt to address consumer demands, the release has also begun of a range of spirit products packaged in 'PET'. To conclude, though the Company did suffer minimal market depression as a result of the ban, by the last quarter it had made a strong recovery and was ready to rejoin its growth path.

Two new products were launched during the year, Kane Extra Golden Spirit and V&A Cream Liqueur, both of which are expected to address emerging gaps in the market.

In order to establish an optimum position for future growth, and to capitalize on the many operational synergies in existence

"two new products were launched during the year, Kane Extra Golden Spirit and V&A Cream Liqueur"



unaogharimu mabilioni ya shilingi, ukiwa ni wa aina ya kwanza nchini Uganda. Mtambo huu mpya ambao utahakikisha kwamba Kampuni inatekeleza na kukubaliana na kiwango cha kimataifa cha mazingira, tayari kinafanya kazi na kitapewa mamlaka mwezi Agosti 2005.

Kampuni imewekeza maradufu katika kuboresha baadhi ya vifaa vyake vya uzalishaji na matumizi, ambavyo vimekamilika kikamilifu mwaka huu.

KENYA MALTINGS

Kampuni imezidi kupunguza gharama yake ya matumizi kwa kipindi cha mwaka huu. Kama mchango wake wa kujitolea ili kukabiliana na matakwa ya Kampuni na kimea cha pombe, Kampuni ina furaha kuripoti kwamba imetafuta nyongeza maradufu ya uzalishaji kwa hekari kutoka kwa wakulima, kwa msimu ufuatao. Zaidi ya hayo, mpango wa ukuzaji shayiri unaotumika kwa sasa nchini Uganda, umeapanuliwa sana, ili kuhakikisha kwamba tunazidi kupunguza gharama ya matumizi yetu kwa siku zijazo. Mpango wa uzalishaji shayiri umeendelea kuwa na matokeo mazuri na Kampuni ina furaha kutangaza utoaji wa aina nyingine ya shayiri katika msimu huu wa upanzi. Shayiri yenyewe inayojulikana kama, 'Nguzo,' ambayo tayari imeboresha mavuno yaliyoko na kupingana na magonjwa, itahakikisha mazao bora zaidi ya shayiri kwa siku zijazo.

Kulingana na kujitolea kwa Kampuni ili kuboresha uzalishaji wa kimea cha pombe cha kiwango cha juu, mpango maalum wa uwekezaji umeanzishwa, ambao unatarajiwa kuzidisha mazao na kuboresha viwango huku kukiwa na viwango vya juu vya ufanisi na mamlaka ya gharama.

Mwaka uliopita, Kampuni iliidhinisha kuwekwa kwa mtambo unaotumia hewa, unaoyasafisha maji machafu yanayotoka katika kiwanda, ambao unatarajiwa kuchangia mabadiliko makubwa kwa ulinzi wa mazingira.

UDV KENYA

Mwaka uliopita, Kampuni ililazimika kukabiliana na upigaji marufuku wa serikali, kwa uuzaji wa vinywaji vikali katika pakiti, ambayo yameathiri vilivyo uuzaji katika sekta za 'thamani' na 'vipimo vya kati.' Kampuni imejizatiti vilivyo kakabiliana na athari za marufuku hiyo na imeweza kuongeza kiwango cha mauzo ya bidhaa zinazouzwa katika glasi. Katika kujaribu kukabiliana na matakwa ya wateja, tumeanzisha utoaji wa vinywaji vikali mbalimbali ambavyo vimewekwa katika chupa za plastiki.

chairman's statement continued

taarifa ya mwenyekiti inaendelea

within the Group, the Company will shortly transfer its operations from Kampala Road in the Nairobi Industrial Area to Ruaraka, where it will contract its production to KBL. In support of this initiative, KBL is already in the process of installing a new spirits production facility. It is envisaged that this transfer will take place by the middle of the 2005-2006 financial year.

CENTRAL GLASS INDUSTRIES

Central Glass Industries enjoyed a dynamic trading year, profits almost doubling over those of the previous year. The Company's enhanced performance was driven both by strong growth in the production of spirits, and by the governmental ban on the marketing of spirits in sachets. Business levels were also energized by a slight shift in favour of local sales rather than export sales; this is in contrast to the previous year when the trend was reversed.

Since some 50% of the Company's business is devoted to the export trade, Central Glass Industries continues to function as the prime source of foreign exchange for the Group as a whole. The sphere of corporate penetration is comprehensive, especially in East Africa, but also throughout the Great Lakes Region, Ethiopia, Zambia and the islands of the Indian Ocean. In West Africa the Company enjoys significant business in Cote D'Ivoire and, more recently, in Angola. New business opportunities are also emerging in Namibia.

The Company continues to invest in the maintenance of quality control and expects to be certified for HACCP and OHS before the end of July 2005. As a result, the quality of our products continues to underscore and enhance the dominance of our market share in East Africa.

As to the future, the Company outlook remains strongly positive. We anticipate major investment during the third quarter of 2005 when we will install a new glass furnace and glass-forming equipment. We shall also effect the upgrade of our processing control equipment. Both innovations will, we believe, deliver significant benefits in our efficiencies.

THE FUTURE

We are extremely pleased to reach the position of being one of the largest and most profitable companies in East Africa. The Group has applied business strategy consistently to capture opportunities and create more value for our consumers, shareholders and the economies of East Africa over the year.

Kwa kumalizia, ingawa Kampuni iliathiriwa kwa mauzo kupungua kutokana na marufuku hiyo, kufikia kipindi cha mwisho cha mwaka, iliweza kupata nguvu zaidi na kuwa tayari kurudia njia yake ya kuimarika.

Bidhaa mbili mpya zilibuniwa mwaka huu, Kane Extra Golden Spirit na V & A Cream Liqueur, ambazo zinatarijiwa kukabiliana na mianya iliyoko katika soko.

Ili kuwa na nafasi bora katika ukuzaji wa siku zijazo na kupata faida kutokana na faida ya utendajikazi uilioko katika Kampuni, hivi karibuni Kampuni itahamisha shughuli zake kutoka Barabara ya Kampala iliyoko katika Sehemu ya Viwandani ya Nairobi, ambapo itatoa kandarasi ya uzalishaji wake kwa KBL. Kwa kuunga mkono uvumbuzi huu, KBL tayari iko katika harakati za kuweka kifaa kipya cha uzalishaji wa vinywaji vikali vipya. Inatarajiwa kwamba uhamisho huu utafanyika kufikia katikati ya mwaka wa kifedha wa 2005 – 2006.

CENTRAL GLASS INDUSTRIES

Central Glass Industries ilikuwa na mwaka wenye mafanikio ya kibiashara, huku faida ikiwa karibu mara mbili ya ile ya mwaka uliopita. Utendajikazi maradufu wa Kampuni ulitokana na ukuzaji imara katika utengenezaji wa vinywaji vikali na kwa serikali kupiga marufuku uuzaji wa vinywaji vikali katika pakiti. Viwango vya biashara viliimarika kutokana na mabadiliko yaliyopendelea mauzo ya humu nchini zaidi ya mauzo ya nchi za nje; kinyume na mwaka uliopita ambapo mtindo ulibadilishwa.

Kwa vile asilimia 50 ya biashara ya Kampuni inahusiana na nchi za nje, Central Glass Industries inaendelea kuwa chanzo kikuu cha mapato ya fedha za kigeni kwa Kampuni kwa jumla. Uwanja wa kueneza uongozi ni mpana, hasa katika Afrika Mashariki, lakini pia katika Eneo la Maziwa Makuu, Ethiopia, Zambia na visiwa vilivyoko katika Bahari Hindi. Huko Afrika Magharibi, Kampuni inafurahia biashara maradufu katika Cote D'Ivoire na, hivi karibuni, nchini Angola. Nafasi mpya za biashara pia zinajitokeza nchini Namibia.

Kampuni inazidisha uwekezaji katika kudumisha njia za uboreshaji na inatarajia kupata hati ya uthibitisho wa HACCP na OHS kabla ya mwisho wa mwezi wa July 2005. Kutokana na hayo, kiwango cha bidhaa zetu kinaendelea kuzisitizwa na kuzidisha uongozi katika soko letu la Afrika Mashariki.

Tukiangazia mbele, mtazamo wa Kampuni umebakia imara. Tunatazamia uwekezaji mkuu wakati wa kipindi cha sehemu ya tatu

"We anticipate major investment during the third quarter of 2005 when we will install a new glass furnace and glass-forming equipment."



chairman's statement continued

taarifa ya mwenyekiti inaendelea

Our focus on excellence in manufacturing mirrors our world class staff training and our continued drive to excel in innovation, marketing and sales. We are very proud of our strong and varied brand portfolio and we will continue to focus on our people, brand quality and innovation.

We will also continue to promote a culture of responsible drinking and we will increase our support for community programmes in Health, Water and Education across East Africa. We will continue to make a positive impact in the region both in a financial sense and for the betterment of communities across East Africa.

With these guidelines in mind, we look forward to the future with confidence, reassured that East Africa will continue to benefit from the Group's presence.

APPRECIATION

In a year of significant achievements and excellent results I would like to thank my colleagues on the Board of Directors, and over 1,000 employees of our operating companies across East Africa for their excellent work and continued dedication to the company. I would also like to praise our business partners and consumers for their unwavering support. The achievements we have made this year are a result of strong teamwork, effective planning and the continued focus to meet all challenges and to harness all opportunities.

J G Kiereini
Chairman

“we will increase our support for community programmes in Health, Water and Education across East Africa.”



ya mwaka wa 2005, wakati tutajenga tanuu mpya ya glasi na vifaa vya kutengeneza glasi. Pia tutatekeleza uboreshaji wa kifaa chetu cha utengenezaji. Uvumbuzi huu, tunaamini, utawasilisha manufaa makubwa kwa ufanisi wetu.

KUENDELEA MBELE

Tuna furaha sana kufikia nafasi ya kuwa mojawapo ya makampuni makubwa na yenye faida zaidi katika Afrika Mashariki. Kampuni imetumia mikakati ya kibiashara bila kusita ili kupata fursa na kuwa na thamani zaidi kwa wateja wetu, wanahisa na chumi za Afrika Mashariki kwa mwaka huu.

Mwangaza wetu kwa ufanisi katika utengenezaji unaashiria mafunzo ya wafanyikazi wetu ambayo ni ya kimataifa na msukumo wetu wa kuendelea kufaulu katika uvumbuzi, utangazaji na uzaji. Tunajivunia mkusanyiko wa chapa zetu ambazo ni thabiti na za aina mbalimbali na tutaendelea kuwaangazia watu wetu, ubora wa chapa na uvumbuzi.

Pia tutaendelea kuhimiza mazoea ya unywaji wenye uwajibikaji na tutazidisha msaada wetu kwa mipango katika jamii inayohusu Afya, Maji na Elimu katika Afrika Mashariki. Tutaendelea kuwa na athari inayopendeza katika eneo hili, upande wa uchumi na pia kwa ubora wa jumuiya zilizoko Afrika Mashariki.

Tukiwa na miongozo hii, tunatazamia siku za usoni tukiwa na matumaini na uhakika kwamba Afrika Mashariki itaendelea kufaidika kutokana na kuwepo kwa Kampuni.

SHUKRANI

Kwa mwaka iliokuwa na mafanikio makuu na matokeo mazuri, ningependa kuwashukuru wenzangu walio katika Halmashauri ya Wakurugenzi na zaidi ya wafanyikazi 1,000 wa makampuni yetu yaliyoko Afrika Mashariki, kwa kazi yao nzuri na kuendelea kujitolea kwao kwa Kampuni. Ningependa kuwasifu washiriki wetu wa kibiashara na wateja wetu kwa kuendelea kutuunga mkono. Mafanikio tuliyoypata mwaka huu yanatokana na kazi ya pamoja iliyo imara, mipango iliyofaa, kukabiliana na vikwazo vyote na kushirikiana na nafasi zote.

J G Kiereini
Mwenyekiti

report of the directors

for the year ended 30 june 2005

ripoti ya wakurugenzi

kwa mwaka ulimalizika 30 juni 2005

The directors submit their report together with the audited financial statements for the year ended 30 June 2005, which disclose the state of affairs of the Group and Company.

PRINCIPAL ACTIVITIES

East African Breweries remains a holding company with subsidiaries involved in the marketing, brewing/manufacturing and selling of drinks, glass containers, malt and barley.

RESULTS AND DIVIDEND

The net profit for the year of Shs 4.8 billion has been added to retained earnings.

During the year an interim dividend of Shs 1.50 per share (2004: Shs 0.625) was paid. The directors recommend the approval of a final dividend of Shs 3.00 per share (2004: Shs 2.375).

DIRECTORS

The directors since 1 july 2004 are set out on page 2 and 3

SUBSTANTIAL SHAREHOLDINGS

The substantial shareholder (who held 1% or more of the issued share capital of the company) are set out on page 58

AUDIT COMMITTEE

In accordance with the requirements for companies listed on the Nairobi Stock Exchange, the company has an Audit Committee comprising non-executive members of the Board and other professionals, who are independent of the day to day management of the company's operations.

The Audit Committee deals with all matters relating to the financial statements and internal control systems of the company including dealing with the independent auditors.

DIRECTORS' CONFLICT OF INTEREST

Directors are required to disclose all areas of conflict of interest to the Board and are excluded from voting on such areas. They are sensitised on the rules of insider trading and are required to report and register regularly any changes in their shareholding.

AUDITORS

The company's auditors, KPMG Kenya, continue in office in accordance with Section 159(2) of the Companies Act.

By order of the Board

SECRETARY

25 August 2005

Wakurugenzi wanawasilisha ripoti yao pamoja na taarifa za kifedha ambazo zimekaguliwa, kwa mwaka ulimalizika tarehe 30 Juni 2005, ambayo inaonyesha wazi shughuli za kampuni iliyo kwa pekee na ikiwa na makampuni yake tanzu.

SHUGHULI KUU

East African Breweries bado inaendelea kumiliki makampuni mengine yanayoshughulikia upikaji na uuzaji wa vinywaji, vyombo vya asili ya chupa, kimea cha pombe na shayiri.

MATOKEO NA MGAWO WA FEDHA

Faida halisi ya mwaka huu ya shilingi 4.8 billion imeongezwa kwa mapato yaliyobakizwa.

Mwaka huu, mgawo wa muda wa shilingi 1.50 kwa kila hisa (2004: Shs 0.625) ulilipwa. Wakurugenzi walipendekeza kuidhinishwa kwa mgawo wa mwisho wa shilingi 3.00 kwa kila hisa. (2004: Shs 2.375)

WAKURUGENZI

Wakurugenzi waliokuwepo kuanzia tarehe 1 Julai 2004 wameonyeshwa katika ukurasa wa 2 na 3.

USHIKAJIHISA ULIOIMARIKA

Mshikajihisa imara (aliyekuwa na asilimia 1 au zaidi, ya hisa zilizotolewa na Kampuni) ameonyeshwa katika ukurasa wa 58

KAMATI YA UKAGUZI

Kulingana na matakwa ya makampuni yaliyoorodheshwa katika Soko la Hisa la Nairobi, kampuni ina Kamati ya Ukaguzi iliyo na wanachama wa Halmashauri ambao si wafanyakazi wa kampuni na wafanyakazi wengine wenye ujuzi, ambao hawahusiani na uongozi wa siku kwa siku wa shughuli za kampuni.

Kamati ya Ukaguzi inashughulika na mambo yote yanayohusiana na taarifa za kifedha na utaratibu wa mamlaka ya kindani ya kampuni, ikiwemo kushughulika na wakaguzi walio huru.

MGONGANO WA MSIMAMO WA WAKURUGENZI

Wakurugenzi wanahitaji kuelezea wazi sehemu zote zenye mgongano wa msimamo kwa Halmashauri na hawapaswi kupiga kura kwa sehemu kama hizo. Wamejulishwa vilivyo juu ya kanuni za ufanyaji biashara wa kindani na wanapaswa kuripoti na kusajili mara kwa mara mabadiliko yoyote yaliyo katika ushikajihisa wao.

WAKAGUZI WA HESABU

Wakaguzi wa hesabu wa kampuni, KPMG Kenya, wataendelea na wadhifa wao, kuambatana na kifungu cha 159(2) cha Sheria zinazosimamia Makampuni nchini Kenya.

Kwa Amri ya Halmashauri

KATIBU

25 Agosti 2005

statement of directors' responsibilities *taarifa kuhusu jukumu la wakurugenzi*

The Kenyan Companies Act requires the directors to prepare financial statements which give a true and fair view of the state of affairs of the group and the company as at the end of each financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the company keep proper accounting records, which disclose with reasonable accuracy the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group's operating results. The directors further accept responsibility for the maintenance of accounting records, which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its continuing subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

Director: J G Kiereini

Director: G K Mahinda

25 August 2005

Sheria zinazoyasimamia Makampuni nchini Kenya, zinawahitaji wakurugenzi kutayarisha taarifa za kifedha ambazo ni sahihi na zinazoonyesha ukweli hali ya shughuli za kampuni ilivyo, kwa pekee na ikiwa na makampuni yake tanzu, na matokeo ya shughuli hizo hadi kufikia mwisho wa mwaka huo. Wakurugenzi vilevile wanahitajiwa kuhakikisha kuwa kampuni na makampuni yake tanzu inaweka kumbukumbu za uhasibu zilizo sawa na ambazo zinaonyesha kwa usahihi wa kutosha hali ya kifedha ya kampuni na makampuni yake tanzu ilivyo. Pia wanawajibika kulinda rasilimali ya kampuni.

Wakurugenzi wanakubali jukumu lao juu ya taarifa za kifedha za mwaka huu, ambazo zimetayarishwa kwa kutumia sera za uhasibu zinazofaa na zinazothibitishwa kwa uamuzi wa makadirio ya kutosha na yenye busara kuambatana na Viwango vya Uhasibu vya Kimataifa na Sheria zinazosimamia Makampuni. Wakurugenzi wanaonelea kwamba taarifa hizi za kifedha zinaonyesha kwa ukweli hali ya shughuli za kifedha ya kampuni kwa pekee na ikiwa na makampuni yake tanzu, ilivyo. Wakurugenzi pia wanakubali kuchukua jukumu la kudumisha kumbukumbu za uhasibu za kifedha pamoja na utaratibu unaofaa wa uthabiti wa kifedha wa kindani.

Hakuna chochote kinachojulikana kwa wakurugenzi ambacho kingewaonyesha kwamba kampuni na makampuni yake tanzu yanayoendelea, haitoweza kufanya biashara kwa angalau muda wa miezi kumi na miwili ijayo kutoka tarehe ya kuandikwa kwa taarifa hii.

Mkurugenzi: J G Kiereini

Mkurugenzi: G K Mahinda

25 Agosti 2005

report of the independent auditors

ripoti ya wakaguzi huru wa hesabu

We have audited the financial statements set out on pages 29 to 56 for the year ended 30 June 2005. We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit. The balance sheet of the Company is in agreement with the books of account.

Respective responsibilities of directors and independent auditors

As stated on page 27, the directors are responsible for the preparation of financial statements that give a true and fair view of the state of affairs of the group and the company and of the group's operating results. Our responsibility is to express an opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those Standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting policies used and significant estimates made by the directors, as well as evaluating the overall presentation of the financial statements. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept and the financial statements give a true and fair view of the state of the group and company's financial position at 30 June 2005 and of the group's operating results and cash flows for the year then ended and comply with International Financial Reporting Standards and the Kenyan Companies Act.

KPMG Kenya
Certified Public Accountants
P O Box 40612 - 00100, Nairobi

Date: 25 August 2005

Tumekagua taarifa za kifedha zilizo kwenye kurasa 29 hadi 56 wa mwaka uliomalizikia tarehe 30 Juni, 2005. Tumepata habari zote na maelezo ambayo kwa kadiri ya ujuzi wetu kamili na maarifa yetu, yalihatika kwa minajili ya ukaguzi wetu. Mizani ya hesabu za kampuni inakubaliana na vitabu vya hesabu.

Majukumu mbali mbali ya wakurugenzi na ya wakaguzi huru wa hesabu

Kama ilivyoelezwa katika ukurasa wa 27, ni wajibu wa wakurugenzi kutayarisha taarifa za kifedha zilizo sahihi na zinazoonyesha kwa ukweli, hali ya shughuli za kampuni na makampuni yake tanzu, ilivyo. Jukumu letu ni kuwaeleza maoni yetu juu ya taarifa za kifedha, ambayo hayapendelei upande wowote, tukizingatia ukaguzi wetu.

Msingi wa maoni

Tulitekeleza ukaguzi wetu kuambatana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivyo vinahitaji tupange na kutekeleza uchunguzi wetu ili tupate thibitisho tosha kuwa taarifa za kifedha hazina upotofu wa aina yoyote. Ukaguzi unahusisha kutathmini, kwa msingi wa majaribio, kwa ushahidi unaohitabisha kiasi na matangazo yanayotolewa kwenye taarifa za kifedha. Pia, ukaguzi huwa pamoja na tathmini jumla ya uwasilishaji wa taarifa za kifedha. Tuna imani kwamba ukaguzi wetu unatoa msingi unaofaa wa maoni yetu.

Maoni

Kwa maoni yetu, vitabu vya hesabu vimehifadhiwa vizuri na taarifa za kifedha zinaonyesha kwa ukweli, hali halisi ya kifedha ya kampuni na makampuni yote yanayohusika, ilivyokuwa kufikia tarehe 30 Juni, 2005 na fedha zilivyopokelewa na kutumika kwa mwaka uliomalizika hapo, na zinakubaliana na Viwango vya Uhasibu vya Kimataifa na Sheria zinazosimamia Makampuni.

KPMG Kenya
Certified Public Accountants
P O Box 40612 - 00100, Nairobi

Tarehe: 25 Agosti 2005



consolidated profit and loss account

for the year ended 30 june 2005

	Notes	2005 Shs'000	2004 Shs'000
Net revenue	4	19,186,425	16,592,335
Cost of sales		(6,296,140)	(5,105,206)
Gross profit		12,890,285	11,487,129
Other operating income	5	485,682	239,813
Distribution costs		(1,073,885)	(1,036,518)
Administrative expenses		(4,805,842)	(4,674,013)
Operating profit	6	7,496,240	6,016,411
Finance income	8	29,441	173,822
Share of associate's profit		1,073,370	851,664
Profit before income tax		8,599,051	7,041,897
Income tax expense	9	(2,822,823)	(2,293,984)
Profit after income tax		5,776,228	4,747,913
Minority interest		(1,006,316)	(898,855)
Net profit attributable to the shareholders		4,769,912	3,849,058
Earnings per share – basic		7.24	5.87
– diluted		7.24	5.84
Dividends:			
Interim dividends – paid in the year	10	988,468	408,863
Final proposed dividends	10	1,976,937	1,878,088
		2,965,405	2,286,951

consolidated balance sheet

as at 30 june 2005

	Notes	2005 Shs'000	2004 Shs'000
CAPITAL EMPLOYED			
Share capital	11	1,317,957	1,098,297
Share premium	11	1,959,100	2,188,534
Revaluation surplus	12	2,307,093	2,311,542
Retained earnings		7,785,546	6,068,049
Proposed dividends	10	1,976,937	1,878,088
Shareholders' funds		15,346,633	13,544,510
Minority interest		1,658,658	1,714,110
Non-current liabilities			
Deferred income tax	13	1,493,842	1,212,380
Provision for staff gratuity		196,770	393,622
		1,690,612	1,606,002
		18,695,903	16,864,622
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14(a)	8,204,283	7,774,472
Prepaid operating lease rentals	15	33,430	33,816
Investment in associate company	16(a)	1,024,595	1,164,357
Other investments	16(c)	10,400	10,400
Goodwill	17(b)	648,664	659,894
Deferred income tax asset	13	2,215	14,968
Defined benefit asset	18	115,924	115,924
		10,039,511	9,773,831
Current assets			
Inventories	19	3,335,227	3,490,100
Receivables and prepayments	20(a)	2,190,741	2,001,491
Income tax recoverable		35,946	282,304
Term deposits		6,357,252	2,466,353
Cash and bank balances		779,817	2,756,458
		12,698,983	10,996,706
Current liabilities			
Payables and accrued expenses	21(a)	3,615,555	3,700,296
Current income tax		240,345	-
Dividends payable		64,736	193,787
Bank overdraft		121,955	11,832
		4,042,591	3,905,915
Net current assets		8,656,392	7,090,791
		18,695,903	16,864,622

The financial statements on pages 29 to 56 were approved for issue by the board of directors on 25 August 2005 and signed on its behalf by:

Director: J G Kiereini

Director: G K Mahinda

company balance sheet

as at 30 june 2005

	Notes	2005 Shs'000	2004 Shs'000
CAPITAL EMPLOYED			
Share capital	11	1,317,957	1,098,297
Share premium	11	1,959,100	2,188,534
Revaluation surplus	12	118,263	118,263
Retained earnings		6,155,473	4,668,551
Proposed dividends	10	1,976,937	1,878,088
Shareholders' funds		11,527,730	9,951,733
Non-current liabilities			
Deferred income tax	13	8,582	49,217
Provision for staff gratuity		-	42,016
		8,582	91,233
		11,536,312	10,042,966
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14(b)	206,858	217,766
Prepaid operating lease rentals	15	1,891	1,922
Investment in subsidiaries	17(a)	4,324,783	4,324,783
Investment in associate company	16(b)	3,409,066	3,484,622
Other investments	16(c)	10,400	10,400
		7,952,998	8,039,493
Current assets			
Receivables and prepayments	20(b)	1,952,683	2,084,938
Dividends receivable		-	66,667
Income tax recoverable		-	38,427
Term deposits		2,651,007	1,197,399
Cash and bank balances		48,446	91,120
		4,652,136	3,478,551
Current liabilities			
Payables and accrued expenses	21(b)	921,192	1,291,911
Dividends payable		64,736	183,167
Current income tax		82,894	-
		1,068,822	1,475,078
Net current assets		3,583,314	2,003,473
		11,536,312	10,042,966

The financial statements on pages 29 to 56 were approved for issue by the board of directors on 25 August 2005 and signed on its behalf by:

Director: J G Kiereini

Director: G K Mahinda

consolidated cash flow statement

for the year ended 30 june 2005

	Notes	2005 Shs'000	2004 Shs'000
Operating activities			
Cash generated from operations	24(a)	7,501,476	7,848,255
Interest received		260,703	54,934
Interest paid		(12,807)	(25,463)
Income tax paid		(1,674,227)	(1,926,499)
Net cash generated from operating activities		6,075,145	5,951,227
Investing activities			
Purchase of property, plant and equipment	14	(1,223,487)	(2,155,245)
Proceeds from disposal of property, plant and equipment		55,736	71,694
Dividends received from associate		763,231	691,417
Pre-acquisition dividends received from subsidiary		11,230	-
Net cash used in investing activities		(393,290)	(1,392,134)
Financing activities			
Proceeds from issue of ordinary shares		-	7,992
Dividends paid to shareholders		(2,806,578)	(1,691,249)
Dividends paid to minority interest		(1,061,368)	(717,017)
Bonus share issue costs		(9,774)	-
Net cash used in financing activities		(3,877,720)	(2,400,274)
Increase in cash and cash equivalents		1,804,135	2,158,819
Movement in cash and cash equivalents			
At start of year		5,210,979	3,052,160
Increase		1,804,135	2,158,819
At end of year	24(b)	7,015,114	5,210,979

consolidated statement of changes in equity

for the year ended 30 june 2005

	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 30 June 2005						
At start of year	1,098,297	2,188,534	2,311,542	6,068,049	1,878,088	13,544,510
Exchange difference on translation of foreign subsidiaries	-	-	(4,449)	(22,806)	-	(27,255)
Exchange difference on translation of foreign associates	-	-	-	(64,204)	-	(64,204)
Profit for the year	-	-	-	4,769,912	-	4,769,912
Bonus issue of shares	219,660	(229,434)	-	-	-	(9,774)
Dividends:						
- Final for 2004 paid	-	-	-	-	(1,878,088)	(1,878,088)
- Interim for 2005 declared and paid	-	-	-	(988,468)	-	(988,468)
- Proposed final 2005	-	-	-	(1,976,937)	1,976,937	-
At end of year	1,317,957	1,959,100	2,307,093	7,785,546	1,976,937	15,346,633

Included in share premium are expenses of Shs 9,774,421 including stamp duty relating to the bonus issue of shares during the year.

	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 30 June 2004						
At start of year	1,090,305	2,188,534	2,055,031	4,444,060	1,308,366	11,086,296
Share issue	7,992	-	-	-	-	7,992
Revaluation surplus on revaluation	-	-	298,732	-	-	298,732
Revaluation reserve reclassified as disposal and impairment of assets	-	-	(17,790)	284	-	(17,506)
Deferred income tax on revaluation surplus	-	-	(86,227)	-	-	(86,227)
Exchange differences on translation of foreign associate	-	-	-	(190,845)	-	(190,845)
Exchange differences on translation of foreign subsidiaries	-	-	61,796	252,443	-	314,239
Profit for the year	-	-	-	3,849,058	-	3,849,058
Dividends:						
- Final for 2003 paid	-	-	-	-	(1,308,366)	(1,308,366)
- Interim for 2004 declared and paid	-	-	-	(408,863)	-	(408,863)
- Proposed final for 2004	-	-	-	(1,878,088)	1,878,088	-
At end of year	1,098,297	2,188,534	2,311,542	6,068,049	1,878,088	13,544,510

company statement of changes in equity

for the year ended 30 june 2005

	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 30 June 2005						
At start of year	1,098,297	2,188,534	118,263	4,668,551	1,878,088	9,951,733
Bonus issue of shares	219,660	(229,434)	-	-	-	(9,774)
Profit for the year	-	-	-	4,452,327	-	4,452,327
Dividends:						
- Final for 2004 paid	-	-	-	-	(1,878,088)	(1,878,088)
- Interim for 2005 paid	-	-	-	(988,468)	-	(988,468)
- Proposed final for 2005	-	-	-	(1,976,937)	1,976,937	-
At end of year	1,317,957	1,959,100	118,263	6,155,473	1,976,937	11,527,730

Included in share premium are expenses of Shs 9,774,421 including stamp duty relating to the bonus issue of shares during the year.

	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 30 June 2004						
At start of year	1,090,305	2,188,534	33,596	3,860,430	1,308,366	8,481,231
Share issue	7,992	-	-	-	-	7,992
Revaluation surplus on revaluation of property	-	-	128,688	-	-	128,688
Revaluation surplus realised on disposal of assets	-	-	(5,415)	-	-	(5,415)
Deferred income tax on revaluation	-	-	(38,606)	-	-	(38,606)
Profit for the year	-	-	-	3,095,072	-	3,095,072
Dividends:						
- Final for 2003 paid	-	-	-	-	(1,308,366)	(1,308,366)
- Interim for 2004 paid	-	-	-	(408,863)	-	(408,863)
- Proposed final for 2004	-	-	-	(1,878,088)	1,878,088	-
At end of year	1,098,297	2,188,534	118,263	4,668,551	1,878,088	9,951,733

notes to the financial statements

for the year ended 30 june 2005

Accounting Policy Notes

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (Shs) and prepared under the historical cost convention as modified by the revaluation of certain property and equipment and the carrying of investment property and available-for-sale investments at fair values.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) Consolidation

The consolidated financial statements include the financial statements of East African Breweries Limited and its subsidiaries and associate up to 30 June as shown in Note 16 and 17. All intra-group transactions are eliminated in full on consolidation and the unrealised profit on stocks held by the subsidiaries and associate at the accounting date is also eliminated.

(i) Subsidiaries

Subsidiaries are those enterprises controlled by the company. Control exists when the company has the power, directly or indirectly, to govern the financial and operating policies of an enterprise so as to obtain the benefits from its activities. The financial statements are included in the consolidated financial statements from the date that control commences until the date that control ceases.

(ii) Associates

An associate company is that in which the Group has significant influence, but not control, over the financial and operating policies. The consolidated financial statements include the group's share of the total recognised gains and losses of the associated company on an equity accounting basis, from the date that significant influence commences until the date that significant influence ceases. Consolidation adjustments are also made to ensure consistency with the group's accounting policies. At the company level, associates are recognised using the equity method.

(c) Revenue recognition

Sales of goods are recognised in the period in which the company delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of value-added tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

(d) Translation of foreign currencies

(i) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account in the year in which they arise.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets, are included in the fair value reserve in equity.

notes to the financial statements (continued)

for the year ended 30 june 2005

(ii) Group companies

The results and financial position of all the group entities that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- a) assets and liabilities for each balance sheet presented are translated at the closing rate at the date of that balance sheet;
- b) income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- c) all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities, and of borrowings and other currency instruments designated as hedges of such investments, are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

(e) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Property, plant and equipment is subsequently shown at market value, based on periodic valuations by external independent valuers, less subsequent depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the profit and loss account.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings	50 years or the unexpired period of the lease
Plant and machinery	5 - 33 years
Equipment and motor vehicles	4 – 5 years

Freehold land is not depreciated.

Property, plant and equipment are reviewed annually for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

(f) Intangible assets

(i) Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives (three to five years). These costs have been included under property, plant and equipment.

(ii) Goodwill

Goodwill arising on acquisition of subsidiaries and associates is stated at cost less accumulated impairment losses (Note s). At the balance sheet date, the group assesses the goodwill carried in the books for impairment.

notes to the financial statements (continued)

for the year ended 30 june 2005

(g) Investment property

Buildings, or part of a building, (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation and which are not occupied by the company are classified as investment property under non-current assets. Investment property is carried at fair value, representing open market value determined annually by external valuers. Changes in fair values are included in other operating income in the profit and loss account.

(h) Other investments

The company classifies its investments into available-for-sale investments and originated loans. The classification is dependent on the purpose for which the investments were acquired. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designations on a regular basis as follows:

(i) Investments intended to be held for an indefinite period of time, but which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. These are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital.

(ii) Non-equity investments purchased in the primary market (i.e. directly from the issuer) are classified as originated loans.

Purchases and sales of investments are recognised on the trade date, which is the date the company commits to purchase or sell the asset. Cost of purchase includes transaction costs. Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method. Realised and unrealised gains and losses arising from changes in the fair value of available-for-sale investments are recorded in the profit and loss account in the year in which they arise and are included in other operating income.

(i) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but excludes borrowing costs. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

(k) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the profit and loss account.

(l) Employee benefits

(i) Retirement benefit obligations

The company operates a defined contribution retirement benefit scheme for some of its employees and a defined benefit scheme for its other employees. The assets of both schemes are held in separate trustee administered funds, which are funded by contributions from both the company and employees. The company and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

notes to the financial statements (continued)

for the year ended 30 june 2005

The company's contributions to the defined contribution schemes are charged to the profit and loss account in the year to which they relate. The company has no further obligation once the contributions have been paid.

For the defined benefit scheme, the pension costs are assessed using the projected unit credit method. Under this method the cost of providing pensions is charged to the income statement so as to spread the regular cost over the service lives of employees in accordance with the advice of actuaries who carry out a full valuation of the plan every three years. The pension obligation is measured as the present value of the estimated future cash outflows. Actuarial gains and losses are recognised over the average remaining service lives of employees.

(ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(iii) Equity compensation benefits

The stock option programme allows Group employees to acquire shares of the company.

(iv) Staff gratuity

On normal retirement after completion of continuous and meritorious service with the group, both management and unionisable staff are entitled to 30 days pay for each completed year of service, after first completing 3 years of service, by way of gratuity, based on wage or salary at the time of such resignation or termination of services. A provision for the service gratuity is recognised in the financial statements as it accrues to each employee.

(m) Income tax

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the existing tax legislation.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(n) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(o) Discontinuing operations

A discontinuing operation is a clearly distinguishable component of the group's business that is abandoned or terminated pursuant to a single plan, and which represents a separate major line of business or geographical area of operations.

(p) Segmental reporting

Segment information is presented in respect of the group's geographical segments, which is the primary format and is based on the countries in which the group operates. The group has no distinguishable significant business segments.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Inter-segment pricing is determined on an arms length basis.

notes to the financial statements (continued)

for the year ended 30 june 2005

(q) Provisions

Provisions are recognised when the company and group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

(r) Offsetting of financial assets and liabilities

Financial assets and liabilities are offset and the net amount reported on the balance sheet when there is a legally enforceable right to set-off the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(s) Impairment

The carrying amounts of the group's assets other than stocks (Note j) and deferred tax (Note m) are reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss recognised in the income statement whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

(i) Calculation of recoverable amount

The recoverable amount of the group's investments in held-to-maturity securities and receivables is calculated as the present value of expected future cash flows, discounted at the original effective interest rate inherent in the asset. Receivables with short duration are not discounted.

The recoverable amount of other assets is the greater of their net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

(ii) Reversals of impairment

An impairment loss in respect of a held-to-maturity security or receivable is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised.

An impairment loss in respect of goodwill is not reversed unless the loss was caused by a specific external event of an exceptional nature that is not expected to recur, and the increase in recoverable amount relates clearly to the reversal of the effect of that specific event.

(ii) Reversals of impairment

In respect of other assets, an impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for the same asset.

(t) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, bank balances, and deposits held at call with the banks net of bank overdrafts.

(u) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year

notes to the financial statements (continued)

for the year ended 30 june 2005

1 General information

East African Breweries Limited is incorporated in Kenya under the Companies Act as a public limited liability company, and is domiciled in Kenya. The address of its registered office is:

**Corporate Centre
Ruaraka
P O Box 30161
00100 Nairobi**

The ultimate holding company is Diageo Plc which is incorporated in the United Kingdom.

2 Financial risk management objectives and policies

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the treasury department under policies approved by the Board of Directors. Treasury identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

notes to the financial statements (continued)

for the year ended 30 june 2005

3 SEGMENTAL REPORTING

	Kenya		Uganda		Tanzania		Eliminations		Consolidated	
	2005	2004	2005	2004	2005	2004	2005	2004	2005	2004
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
External sales	15,431,447	13,604,341	3,754,978	2,987,994	-	-	-	-	19,186,425	16,592,335
Inter-segment sales	1,914,858	1,623,464	-	-	-	-	(1,914,858)	(1,623,464)	-	-
Total sales	17,346,305	15,227,805	3,754,978	2,987,994	-	-	(1,914,858)	(1,623,464)	19,186,425	16,592,335
Segment profit from operations	6,866,155	5,615,463	630,085	400,948	-	-	-	-	7,496,240	6,016,411
Net finance income/(costs)	4,587	172,556	24,854	1,266	-	-	-	-	29,441	173,822
Share of associate profits	-	-	-	-	1,073,370	851,664	-	-	1,073,370	851,664
Income tax expense	(2,094,473)	(1,827,895)	(352,670)	(157,991)	(375,680)	(308,098)	-	-	(2,822,823)	(2,293,984)
Segment results	4,776,269	3,960,124	302,269	244,223	697,690	543,566	-	-	5,776,228	4,747,913
Minority interest									(1,006,316)	(898,855)
Net profit for the year									4,769,912	3,849,058
OTHER INFORMATION:										
Segment assets	19,743,599	17,442,839	2,994,895	3,327,698	-	-	-	-	22,738,494	20,770,537
Segment liabilities	4,572,960	4,032,109	1,160,243	1,479,808	-	-	-	-	5,733,203	5,511,917
Capital expenditure	811,546	1,948,548	411,941	206,697	-	-	-	-	1,223,487	2,155,245
Depreciation expense	645,023	578,448	168,830	153,770	-	-	-	-	813,853	732,218
Impaired assets										
Written down	(1,110)	(93,560)	-	-	-	-	-	-	(1,110)	(93,560)

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets.

notes to the financial statements (continued)

for the year ended 30 june 2005

	2005 Shs'000	2004 Shs'000
4 Analysis of revenue		
Gross sales	34,677,779	30,076,665
Indirect taxes	(15,491,354)	(13,484,330)
	19,186,425	16,592,335
5 Other operating income		
Gain on disposal of property, plant and equipment	12,890	45,767
Royalty income from associate	75,639	66,681
Rental income	22,200	14,786
Sale of by products and scrap items	49,930	42,468
Other	325,023	70,111
	485,682	239,813
6 Operating profit		
The following items have been charged/ (credited) in arriving at operating profit:		
Depreciation on property, plant and equipment (Note 14)	813,853	732,218
Profit on disposal of property, plant and equipment	(12,890)	45,767
Operating lease rentals	386	1,679
Staff costs (Note 7)	2,058,289	1,762,601
Auditors' remuneration	11,991	11,420
7 Staff costs		
The following items are included within staff costs:		
- Salaries and wages	1,611,744	1,382,164
- Defined contribution scheme	38,754	17,294
- Defined benefit scheme	19,713	9,481
- National Social Security Fund	26,989	19,984
Staff gratuity	100,822	(45,228)
Redundancy costs	114,960	198,315
Other	145,307	180,591
	2,058,289	1,762,601

The number of persons employed by the company at the year-end was 1,188 (2004: 1,128).

notes to the financial statements (continued)

for the year ended 30 june 2005

	2005 Shs'000	2004 Shs'000
8 Finance income/(costs)		
Interest expense	(12,807)	(25,463)
Interest income	260,703	54,934
Net foreign exchange (losses)/gains	(218,455)	144,351
Net finance income	29,441	173,822
9 Income tax		
Current income tax	2,061,144	1,644,443
Prior year under provision – current tax	98,362	-
– deferred tax	1,424	-
Prior year over provision	-	(2,380)
	2,160,930	1,642,063
Deferred income tax (Note 13)	286,213	343,823
Share of associate's tax	375,680	308,098
Income tax expense	2,822,823	2,293,984
The tax on the group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:		
Profit before income tax	8,599,051	7,041,897
Tax calculated at the statutory income tax rate of 30% (2004 - 30%)	2,579,715	2,112,569
Tax effect of:		
Expenses not deductible for tax purposes	92,340	183,795
Operations in foreign jurisdictions	50,982	-
Underprovision in prior year	99,786	-
Overprovision in prior year	-	(2,380)
Income tax expense	2,822,823	2,293,984

10 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting.

A final dividend in respect of the year ended 30 June 2005 of Shs 3.00 per share amounting to a total of Shs 1,976,937,000 has been proposed. During the year an interim dividend of Shs 1.50 per share, amounting to a total of Shs 988,486,000 was paid. The total dividend for the year is therefore Shs 4.50 per share (2004: Shs 3.47), amounting to a total of Shs 2,965,405,000 (2004: Shs 2,286,951,000).

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

notes to the financial statements (continued)

for the year ended 30 June 2005

11 Share capital	Number of shares (Thousands)	Ordinary shares Shs'000	Share premium Shs'000
Balance at 1 July 2004	109,830	1,098,297	2,188,534
Bonus issue of shares	21,966	219,660	(229,434)
	131,796	1,317,957	1,959,100
Additional shares as a result of share split	527,183	-	-
Balance at 30 June 2005	658,979	1,317,957	1,959,100

The total authorised number of ordinary shares is 1,000,000,000 with a par value of Shs 2 per share. All issued shares are fully paid.

12 Revaluation surplus

The revaluation surplus represents the surplus on the revaluation of plant, property and equipment, freehold land and buildings net of deferred income tax and is non-distributable.

13 Deferred income tax

Deferred income tax is calculated using the enacted income tax rate of 30% (2004: 30%).

The movement in the deferred income tax account is as follows:

Group	2005 Shs'000	2004 Shs'000
At start of year	1,197,412	756,609
Charge to profit and loss account (Note 9)	286,213	343,823
Charge recognised directly in equity	-	86,227
Currency changes	8,002	10,753
At end of year	1,491,627	1,197,412
Made up of:		
Deferred income tax assets	(2,215)	(14,968)
Deferred income tax liabilities	1,493,842	1,212,380
Company		
At start of year	49,217	(43,096)
Credit to profit and loss account	(40,635)	53,707
Charge recognised directly in equity	-	38,606
At end of year	8,582	49,217

notes to the financial statements (continued)

for the year ended 30 june 2005

13 Deferred income tax (continued)

Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the profit and loss account are attributable to the following items:

Group	1.7.2004 Shs'000	Charged/ (credited) to P/L Shs'000	Currency changes Shs'000	30.6.2005 Shs'000
Deferred income tax liabilities				
Property, plant and equipment	1,367,761	248,444	8,002	1,624,207
Defined benefit asset	33,923	-	-	33,923
Unrealised exchange gain	56,649	(121,550)	-	(64,901)
Tax losses carried forward	(103,635)	52,238	-	(51,397)
Provisions	(142,318)	94,328	-	(47,990)
	1,212,380	273,460	8,002	1,493,842
Deferred income tax assets				
Property, plant and equipment:	53,954	12,547	-	66,501
Tax losses carried forward	(48,264)	-	-	(48,264)
Unrealised exchange gain	3,178	145	-	3,323
Provisions	(23,836)	61	-	(23,775)
	(14,968)	12,753	-	(2,215)
Net deferred income tax liability	1,197,412	286,213	8,002	1,491,627

A deferred tax asset of Shs 375,002,000 (2004 – KShs 374,480,000) associated with a subsidiary, Castle Brewing Kenya Limited, has not been recognised in the balance sheet as the directors do not expect the temporary difference to reverse in the foreseeable future.

Company

	1.7.2004 Shs'000	Charged/ (credited) to P/L Shs'000	30.6.2005 Shs'000
Deferred income tax liabilities			
Property, plant and equipment	40,527	442	40,969
Unrealised exchange gain	32,713	(32,713)	-
	73,240	(32,271)	40,969
Deferred income tax assets			
Provisions	(16,656)	12,605	(4,051)
Unrealised exchange losses	(7,367)	(20,969)	(28,336)
	(24,023)	(8,364)	(32,387)
Net deferred income tax liability	49,217	(40,635)	8,582

notes to the financial statements (continued)

for the year ended 30 june 2005

14 Property, plant and equipment (a) Group

	Freehold property Shs'000	Leasehold buildings Shs'000	Plant & equipment Shs'000	Motor Vehicles Shs'000	Capital work in progress Shs'000	Total Shs'000
Cost or valuation						
At start of year	1,524,618	1,371,325	7,399,262	397,953	914,885	11,608,043
Exchange differences	-	(5,765)	(28,627)	-	595	(33,797)
Additions	-	7,407	243,022	-	973,058	1,223,487
Transfers	200,622	38,576	1,268,185	-	(1,507,383)	-
Disposals	(11,962)	(18,463)	(78,330)	(29,871)	-	(138,626)
Transfer from Inventory	-	-	262,065	-	-	262,065
Impairment loss	-	-	(30,997)	-	-	(30,997)
At end of year	1,713,278	1,393,080	9,034,580	368,082	381,155	12,890,175
Depreciation						
At start of year	-	79,667	3,423,824	330,080	-	3,833,571
Exchange differences	-	(1,141)	(10,740)	-	-	(11,881)
Charge for the year	38,958	38,241	736,125	529	-	813,853
On inventory transfers	-	-	176,016	-	-	176,016
On disposals	(4,427)	(2,750)	(59,072)	(29,531)	-	(95,780)
On impairment	-	-	(29,887)	-	-	(29,887)
At end of year	34,531	114,017	4,236,266	301,078	-	4,685,892
Net book amount						
At 30 June 2005	1,678,747	1,279,063	4,798,314	67,004	381,155	8,204,283
At 30 June 2004	1,524,618	1,291,658	3,975,438	67,873	914,885	7,774,472

14 (b) Company

	Leasehold buildings Shs'000	Plant & machinery Shs'000	Total Shs'000
Cost or valuation			
At start of year	165,500	129,068	294,568
Additions	-	69,770	69,770
At end of year	165,500	198,838	364,338
Depreciation			
At start of year	-	76,802	76,802
Charge for the year	3,879	76,799	80,678
At end of year	3,879	153,601	157,480
Net book amount			
At 30 June 2005	161,621	45,237	206,858
At 30 June 2004	165,500	52,266	217,766

notes to the financial statements (continued)

for the year ended 30 June 2005

(c) In 2004, Knight Frank (Kenya) Limited professionally valued the group's land and buildings in Kenya on the existing use basis. The resulting surplus was credited to a revaluation surplus account in June 2004. The valuations and appraisals were carried out in accordance with RICS Appraisal and Valuation manual ("The Red Book") and were based on expected use. The land and buildings in Uganda is still carried at the professional valuation of 1998 on the open market value for existing use. Other items of property, plant and equipment were revalued by Lloyd and Masika Limited on the basis of open market value for existing use as at 30 June 1996.

As at 30 June 2005, there were no assets pledged by the group to secure liabilities.

In the opinion of the directors, there is no impairment of property, plant and equipment.

If the buildings and freehold land were stated on the historical cost basis, the amounts would be as follows:

Group	Freehold properties Shs'000	Leasehold buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Total Shs'000
Cost	580,113	720,429	7,779,175	367,779	9,447,496
Accumulated depreciation	(140,175)	(122,200)	(3,620,332)	(330,609)	(4,213,316)
Net book amount					
At 30 June 2005	439,938	598,229	4,158,843	37,170	5,234,180
At 30 June 2004	494,448	612,453	4,260,537	67,570	5,435,008

Company	Leasehold buildings Shs'000	Plant and equipment Shs'000	Total Shs'000
Cost	1,000	299,849	300,849
Accumulated depreciation	-	(255,053)	(255,053)
Net book amount			
At 30 June 2005	1,000	44,796	45,796
At 30 June 2004	1,000	52,266	53,266

notes to the financial statements (continued)

for the year ended 30 june 2005

	2005 Shs'000	2004 Shs'000
15 Leases		
(a) Prepaid operating lease rentals		
Leases of land have been classified as operating leases.		
(i) Group		
Cost		
At 1 July 2004 and 1 July 2003	38,882	38,882
Amortisation		
At 1 July 2004 and 2003	(5,066)	(3,387)
Amortisation for the year	(386)	(1,679)
	(5,452)	(5,066)
At 30 June	33,430	33,816
(ii) Company		
Cost		
At 1 July 2004 and 1 July 2003	2,250	2,250
Amortisation		
At 1 July 2004 and 2003	(328)	(295)
Amortisation for the year	(31)	(33)
	(359)	(328)
At 30 June	1,891	1,922

notes to the financial statements (continued)

for the year ended 30 june 2005

16 Investments in associates

(a) Group	Effective interest	2005 Shs'000	2004 Shs'000
Tanzania Breweries Limited	20%	1,024,595	1,164,357
The above represents the Group share of net assets of the associated company.			
(b) Company			
Tanzania Breweries Limited (58,985,693 ordinary shares of TShs 100 each)		3,409,066	3,484,622
Effective 12 December 2002, the company purchased 20% of the issued share capital of Tanzania Breweries Limited, which has been accounted for on an equity basis.			
(c) Other investments (group and company)			
Unquoted: at cost			
4,000 ordinary shares (representing 20%) in Sen-Tech Limited		400	400
20% investment in Challenge Fund Limited who in turn have subscribed to 50% in Central Depository and Settlement Corporation Limited		10,000	10,000
		10,400	10,400

There are no material differences between fair value and cost for these investments.

17 (a) Investments in subsidiaries

	Effective interest	2005 Shs'000	2004 Shs'000
At cost:			
Kenya Breweries Limited	80%	1,806,847	1,806,847
Salopia Limited	100%	200	200
Allsopps (EA) Sales Limited	100%	2	2
East African Breweries (Mauritius) Limited	100%	389	389
Central Glass Industries Limited	100%	790,288	790,288
Uganda Breweries Limited	98.20%	687,647	687,647
International Distillers Uganda Limited	100%	300,000	300,000
UDV (Kenya) Limited	46.32%	589,410	589,410
Castle Brewing Kenya Limited	100%	150,000	150,000
		4,324,783	4,324,783

notes to the financial statements (continued)

for the year ended 30 june 2005

17 Investments in subsidiaries (continued)

(b) Goodwill	UBL Shs'000	CBKL Shs'000	TBL Shs'000	UDV(K) Shs'000	IDU Shs'000	Total Shs'000
Cost						
At start and end of year	116,415	334,249	2,129,421	461,662	271,554	3,313,301
Less: Pre-acquisition dividends	-	-	-	-	(11,230)	(11,230)
	116,415	334,249	2,129,421	461,662	260,324	3,302,071
Amortisation						
At start and end of year	116,415	334,249	2,129,421	46,166	27,156	2,653,407
Net book amount						
At end of the year	-	-	-	415,496	233,168	648,664
At start of the year	-	-	-	415,496	244,398	659,894

The goodwill represents the excess of cost of acquisitions over the fair value of identifiable assets and liabilities of the respective companies.

18 Retirement benefit obligations

The directors, with the advice of the consulting actuary and based on their knowledge, are of the view that nothing significant has happened to have an impact on the fair value of the defined benefit asset since the last actuarial valuation as at 30 June 2004.

	2004 Shs'000
The amounts recognised in the balance sheet are determined as follows:	
Present value of funded obligations	327,093
Fair value of scheme assets	(454,396)
Present value of unfunded obligations/(over-funding)	(127,303)
Unrecognised actuarial gains	11,379
Asset in the balance sheet	(115,924)
The amounts recognised in the profit and loss account for the year are as follows:	
	2004 Shs'000
Current service cost	18,510
Interest cost	26,079
Expected return on scheme assets	(35,108)
Net charge for the year included in staff costs	9,481
Contributions paid	(2,158)
Movement in the liability/asset in the balance sheet	7,323

notes to the financial statements (continued)

for the year ended 30 june 2005

18 Retirement benefit obligations (continued)

On 1 July 2004, all employees who were members of the defined benefit scheme were transferred to a Group defined contribution scheme. The transfer value was based on the prior year actuarial valuation. The defined benefit scheme is in the process of being wound up.

The principal actuarial assumptions used were as follows:

	2004
- discount rate	9%
- expected rate of return on scheme assets	9%
- future salary increases	7%
- future pension increases	0%

Equity compensation benefits

The directors, through an independent Trust, are empowered to grant share options to group employees. These options are granted for a maximum period of ten years and a minimum period of three years at a price determined by the market value ruling on the Nairobi Stock Exchange on the day preceding the day on which the options are granted. The shares to be exercised within this Trust have been issued directly through the company and also purchased at the stock exchange.

Executive Share Option Scheme

Movements in the number of share options held for the employees under the Executive Option Scheme are as follows:

	2005 Shs'000	2004 Shs'000
Outstanding at 1 July	256,871	323,324
Bonus issue of shares	51,374	-
	308,245	323,324
Additional shares as a result of share split	1,232,980	-
	1,541,225	323,324
Granted during the year	128,760	30,143
Lapsed	-	-
Exercised	(450,280)	(96,596)
Outstanding at 30 June	1,219,705	256,871
Exercise price per share	14.79	73.95

Options may be exercised at prices ranging between KShs 14.79 and KShs 102.88.

Employee Share Save Scheme

As at 30 June 2005, the Trust's obligation to members under the employee share save scheme stood at 1,637,900 shares (2004 – 294,012). During the year 145,775 (2004 – 16,896) shares were exercised by employees. The exercise price per share is KShs 12.13.

notes to the financial statements (continued)

for the year ended 30 june 2005

19 Inventories

	2005 Shs'000	2004 Shs'000
Group		
Raw materials	1,278,403	1,104,268
Consumables	1,267,622	1,434,413
Finished goods	753,454	868,579
Goods in transit	35,748	82,840
	3,335,227	3,490,100

20 Receivables and prepayments

(a) Group		
Trade receivables	1,303,183	1,014,155
Barley advances	174,508	111,927
Other receivables	485,075	640,180
Receivable from related parties (Note 25)	227,975	235,229
	2,190,741	2,001,491
(b) Company		
Other receivables	22,628	32,961
Receivable from related parties (Note 25)	1,930,055	2,051,977
	1,952,683	2,084,938

21 Payables and accrued expenses

(a) Group		
Trade payables	789,832	904,924
VAT and excise duty payable	1,152,289	1,040,733
Other creditors	1,092,891	1,754,639
Payable to related parties (Note 25)	580,543	-
	3,615,555	3,700,296
(b) Company		
Other payables	457,672	909,748
Payable to related parties (Note 25)	463,520	382,163
	921,192	1,291,911

notes to the financial statements (continued)

for the year ended 30 june 2005

22 Contingent liabilities - Group

Contingent liabilities incurred in the ordinary course of business:

	2005 Shs'000	2004 Shs'000
Guarantees in respect of bank advances to barley farmers	150,000	34,085
Pending legal cases	303,615	54,168
Other liabilities	143,819	313,023
	597,434	401,276

23 Commitments

Capital commitments - Group

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

Contracted but not provided for	2,161,960	443,413
Authorised but not contracted for	-	109,000

Operating lease commitments (a) Group leases as lessee

Two subsidiaries in the Group (Kenya Breweries Limited and Uganda Breweries Limited) have entered into operating lease agreements for leasing of commercial and non-commercial vehicles. Lease payments cover principal rentals, maintenance fees, fleet management costs and insurance costs.

Future minimum lease payments under these operating leases are as follows:

Not later than 1 year	197,587	108,680
Later than 1 year and not later than 5 years	548,707	12,079
	746,294	120,759

notes to the financial statements (continued)

for the year ended 30 june 2005

23 Commitments (continued)

(b) Group leases as lessor

The group has entered into operating lease agreements for leasing part of its properties.

Future minimum lease receipts under these operating leases are as follows:

	2005 Shs'000	2004 Shs'000
Not later than 1 year	8,052	29,376
Later than 1 year and not later than 5 years	13,795	46,582
	21,847	75,958

24 Cash generated from operations

(a) Reconciliation of profit before income tax to cash generated from operations:

Profit before income tax	8,599,051	7,041,897
Adjustments for:		
Interest income (Note 8)	(260,703)	(54,934)
Income from associates	(1,073,370)	(851,664)
Interest expense (Note 8)	12,807	25,463
Depreciation (Note 14)	813,853	732,218
Amortisation of prepaid operating lease rentals	386	1,679
Amortisation of goodwill	-	36,661
Exchange differences	2,264	149,518
Profit on sale of property, plant and equipment	(12,890)	(45,767)
Loss on impairment of property, plant and equipment	1,110	93,560
Write back of unclaimed dividends	(189,029)	(50,196)
Net decrease in gratuity provisions	(196,852)	(62,797)
Net increase in defined benefit asset	-	7,323
Changes in working capital		
- receivables and prepayments	(189,250)	(415,778)
- inventories	68,822	13,393
- payables and accrued expenses	(74,723)	1,227,679
Cash generated from operations	7,501,476	7,848,255
(b) Cash and cash equivalents		
Term deposit	6,357,252	2,466,353
Cash and bank balances	779,817	2,756,458
Bank overdraft	(121,955)	(11,832)
	7,015,114	5,210,979

notes to the financial statements (continued)

for the year ended 30 june 2005

25 Related party transactions

The company is controlled by Diageo plc incorporated in the United Kingdom. There are other companies that are related to East African Breweries Limited through common shareholdings or common directorships.

The following transactions were carried out with related parties:

	2005 Shs'000	2004 Shs'000
i) Sale of goods and services		
Other related parties	38,558	8,659
ii) Purchase of goods and services		
Parent company	39,760	219,303
Other related parties	739,146	518,202
	778,906	737,505
Sales and purchases to/from related parties were made at terms and conditions similar to those offered to major customers.		
iii) Outstanding balances arising from sale and purchase of goods/services		
a) Group		
Receivables from related parties	227,975	235,229
Payable to related parties	580,543	-
b) Company		
Receivables from subsidiaries	1,902,822	1,833,832
Receivables from related parties	27,233	218,145
Receivables from related parties	1,930,055	2,051,977
Payables to related parties	463,520	382,163

notes to the financial statements (continued)

for the year ended 30 june 2005

25 Related party transactions (continued)

iv) Directors' remuneration	2005 Shs'000	2004 Shs'000
a) Group		
- fees for services as a director	5,143	5,315
- other emoluments	140,717	138,300
	145,860	143,615
b) Company		
- fees for services as a director	3,320	2,913
- other emoluments	39,459	35,370
	42,779	38,283

statement of value added

	2005 Shs'000	2004 Shs'000
Value generated		
Derived from turnover	34,677,779	30,076,665
Bought-in materials and services	(9,589,649)	(8,614,038)
Value added	25,088,130	21,462,627
Share of associate profit	1,073,370	851,664
Total funds available for allocation	26,161,500	22,314,291

This was shared as follows

	2005		2004	
	Kshs'000	%	Kshs'000	%
Staff	2,058,289	7.87%	1,762,601	7.90%
Government as taxes	18,314,176	70.00%	15,778,314	70.71%
Banks and other lenders	12,807	0.05%	25,463	0.11%
Minority interests	1,006,316	3.85%	898,855	4.03%
Shareholders	4,769,912	18.23%	3,849,058	17.25%
	26,161,500	100.00%	22,314,291	100.00%

2005



2004



substantial shareholdings

List of 10 Largest Shareholders as at 30 June 2005

No.	Name(s) and Address	Number of shares	%
1	Diageo Kenya Limited	282,181,950	42.82
2	Board of Trustees - NSSF	43,203,720	6.55
3	Diageo Holdings Netherlands B.V	29,960,330	4.54
4	Barclays (Kenya)Nominees Ltd. Non resident A/c 9011	24,814,046	3.76
5	Mr Kanaksinh Karsandas Babla & Mr Sandip Kanaksinh Babla	23,857,386	3.62
6	Guinness Overseas Limited	17,190,670	2.60
7	Barclays (Kenya) Nominees Ltd Non resident A/c 9057	10,568,865	1.60
8	Kenya Reinsurance corporation (life fund investments)	9,276,740	1.40
9	Barclays (Kenya) Nominees Ltd A/c 9002	7,645,320	1.16
10	Mr Kanaksinh Karsandas Babla & Mr Kusum Kanaksinh Babla	7,133,994	1.08
TOTAL NUMBER OF SHARES		455,833,021	69.13

Distribution of Shareholders as at 30 June 2005

Shareholding Number of Shares	Number of Shareholders	Number of Shares held	% Shareholding
Less than 500	10,157	2,225,823	0.34
501 - 5,000	10,969	17,102,923	2.60
5,001 - 10,000	1,189	8,561,878	1.30
10,001 - 100,000	1,284	37,375,598	5.67
100,001 - 1,000,000	185	47,335,097	7.18
Above 1,000,000	47	546,377,311	82.91
Grand Totals	23,831	658,978,630	100.00

proxy form fomu ya uwakilishi

I/We _____

Share A/c No. _____

of (address) _____

being a member(s) of East African Breweries Limited, hereby appoint

of (address) _____

or failing him the duly appointed Chairman of the meeting to be my/our proxy, to vote on my/our behalf at the 83rd Annual General Meeting of the Company to be held on Wednesday 19 October 2005 at 10.00 a.m. or at any adjournment thereof.

As witness to my/our hands

This _____ day of _____ October 2005

Signature(s) _____

Notes:

1. This proxy is to be delivered to the Company Secretary not later than 10.00 a.m. on Tuesday 17 October 2005 failing which it will be invalid.
2. In case of a corporation, the proxy must be under its common seal.

Mimi/Sisi _____

Nambari ya akaunti ya hisa _____

anwani _____

kama mwanahisa/wanahisa wa East African Breweries namteua/tunamteua

wa (anwani) _____

na akikosa yeye, namteua/tutamteu Mwenyekiti wa mkutano kama mwakilishi wangu/wetu, kupiga kura kwa niaba yangu/yetu kwenye Mkutano Mkuu wa mwaka wa Themanini na Tatu wa Kampuni utakaofanyika tarehe 19 Oktoba 2005 saa nne za asubuhi ama siku yoyote ile endapo mkutano huo utaahirishwa.

Sahihi _____

Sahihi hii/hizi imewekwa/zimewekwa tarehe ____ Oktoba 2005

Maelezo muhimu:

1. Iwapo hutaweza kuhudhuria mkutano huu wewe mwenyewe binafsi, ni lazima fomu hii ya uwakilishi ijazwe kikamilifu na kufikishwa kwa Katibu wa Kampuni kabla ya saa nne za asubuhi ya Jumanne, tarehe 17 Oktoba 2005 na isipofikia wakati huo, uteuzi wako/wenu wa uwakilishi hautafaa.
2. Iwapo mteuaji ni shirika, fomu hii ya uwakilishi ni lazima ipigwe muhuri wa kampuni hiyo.

ADMISSION CARD

PLEASE ADMIT

To the Annual General Meeting of East African Breweries Limited which will be held at the Tusker Sports Ground, Ruaraka, Nairobi on Wednesday 19 October 2005 at 10.00 a.m.

This admission card must be produced by the Shareholder or proxy in order to obtain entrance to the Annual General Meeting.

M N Oluoch-Olunya (Mrs.)
Company Secretary

Name of Shareholder

Address of shareholder

Number of shares held

Fold 2
Pili kunja hapa

Company Secretary
East African Breweries Limited
P O Box 30161 - 00100
Nairobi Kenya

Fold 3
Halafu kunja hapa

Fold 1
Kwanza kunja hapa





www.eabl.com



**EAST
AFRICAN
BREWERIES
LIMITED**